

Background to special companies and associations [¶24-010]

[¶24-010]

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Clubs, incorporated societies and co-operatives consist of groups of people who have generally joined together to further some common purpose. A principle of income tax is that people cannot make profits by trading with themselves. An extension of this is that amounts arising from transactions between members of mutual associations are not deemed to be gross income and consequently associations are required to return only amounts arising from transactions with non-members. The taxation provisions relating to clubs and societies are contained throughout the Income Tax Act 2007 (IT07). The starting point, however, is that incorporated bodies are taxed as companies while unincorporated bodies are taxed as individuals. It then becomes necessary to determine whether there is some specific section in the Act that is applicable to the body concerned.

For tax purposes, a company is defined as a body corporate or other entity that has a legal existence separate from its members, whether it is incorporated or created in New Zealand or elsewhere. The effect of this definition is that generally any club, society, association or trade union is liable to be treated for tax purposes as if it were an ordinary company. The IT07 provides for the special treatment of certain types of company. That special treatment may be in the form of specific provisions for some of the items of income or some of the deductions to be taken into account when calculating the company's net income; specific provision as to how the net income of the company is to be calculated for the income year; particular rates of tax applying to that net income and special rules for calculating the voting interests and market value interests of shareholders.

Incorporated societies that are treated as companies for tax purposes can avail themselves of the same rules that allow other corporate entities to carry forward losses and offset them against those of companies in the same group. This is achieved by including incorporated societies that do not issue shares in the definition of "special corporate entity" to which special rules for calculating the voting interests and market value interests of shareholders apply ([¶16-155](#)).

The IT07 allows a special deduction for non-profit bodies and other organisations, and there are a number of income tax exemptions available for certain societies and organisations ([¶24-080](#) and [¶24-120](#)). These exemptions relate only to income tax. Therefore, the organisation concerned may still be liable for such other taxes as goods and services tax (GST), fringe benefit tax (FBT) and resident withholding tax (RWT).

Law: IT07 s [YA 1](#) ("[company](#)", "[special corporate entity](#)")

Last reviewed on 31 December 2025

Airport operators [¶24-015]

[¶24-015]

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The income of a resident airport operator (comprising a joint venture between the Crown and any local authority that is an airport authority) is taxed at the company tax rate. In operating the airport, the operator is deemed to be carrying on a business. Any airport asset is deemed to have been acquired by the airport operator at the time of its acquisition or first use for an amount equal to its then current market value (s [HR 6](#)). Depreciation is calculated on the basis of that deemed cost price. Since 1 April 1993 airport runways have been depreciable ([Sch 13](#) and [¶13-500](#)).

Deduction for funds advanced

Funds may be advanced to the airport operator for the purpose of running the airport. In that event, the funds are treated as money borrowed by the airport operator. Any return to the lender is treated as interest and is, consequently, allowed as a deduction (s [HR 5\(7\)](#) and [\(8\)](#)). However, no deduction is allowed in respect of any appropriation of funds for the benefit of any deemed shareholder or any consideration provided to or for the benefit of any deemed shareholder (s [DW 1](#)). Effectively, these restrictions make it clear that no deduction is permitted for payments in the nature of a dividend. They do not prevent a deduction for any payment that is in the nature of interest (as above). Apart from the special rules already described, an airport operator calculates its income in the ordinary manner, ie the other provisions of the IT07 apply but are subject to the specific provisions made in respect of airport operators.

Law: IT07 ss [DW 1](#), [HR 5–HR 7](#), [Sch 13](#)

Last reviewed on 31 December 2025

State enterprises and mixed-ownership enterprises [¶24-020]

[¶24-020]

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A State enterprise (formerly referred to as a State-owned enterprise) is treated as a separate business entity and is subject to income tax on any income it receives. They are excluded from the income tax exemption afforded to public authorities ([¶5-605](#)). A state enterprise is also a category of a special corporate entity ([¶16-155](#)). State enterprises are listed in [Sch 36 pt A](#).

A mixed-ownership enterprise is excluded from the definition of “public authority” and therefore does not enjoy an income tax exemption either. A mixed-ownership enterprise can be included as part of a group of companies for the purposes of offsetting losses only if no other company in the group is a mixed-ownership enterprise. Mixed-ownership enterprises are listed in [Sch 36 pt B](#).

Law: IT07 ss [CW 38\(5\)\(b\)](#), [\(5B\)](#), [IC 3\(2A\)](#), [YA 1](#) (“public authority”, “State enterprise”), [Sch 36](#)

Last reviewed on 31 December 2025

Energy companies [124-032]

[124-032]

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Energy companies are taxed like any other company under the general provisions of the IT07.

Available subscribed capital — calculation for energy companies

When the energy companies were corporatised, there was some doubt about whether the shares issued on the corporatisation gave rise to any available subscribed capital. However, Inland Revenue (IR) confirmed that available subscribed capital arose from the shares issued on corporatisation. See interpretation statement [IS3507](#), “Available subscribed capital — energy companies”.

Last reviewed on 31 December 2025

Council-controlled organisations [¶24-035]

[¶24-035]

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From 1 April 2022, the tax treatment of council-controlled organisations (CCOs) changed. The following changes were introduced to improve the income tax settings for local government:

- # Dividends derived by a local authority from a CCO, port company, or energy company are exempt income.
- # Dividends derived by a holding company CCO from a CCO with 100% public ownership are exempt income.
- # Local authorities are no longer allowed a deduction for charitable or other public benefit gifts made to donee organisations.
- # A credit does not arise to a consolidated group's imputation credit account (ICA) for imputation credits attached to a dividend derived by a local authority.

Historically, local authorities were required to pay tax on all income (excluding rates) derived from any CCO linked by ownership or control to the local authority, other than income derived from a CCO operating a hospital as a charitable activity on behalf of the local authority.

These enterprises (CCOs as defined in s 6 of the Local Government Act 2002) have been established to carry on specific trading activities of local authorities and are themselves taxed depending on their nature, ie on the same basis as companies, trusts, etc. A look-through provision is also provided for in the CCO definition to ensure that second tier and further tier subsidiaries of first tier CCOs also come within the CCO definition. Section [CW 39](#) states that income derived by a local authority is exempt income except when derived from commercial undertakings. Consequently, a local authority (as specified in Sch 2 to the Local Government Act) is liable for tax on all income it derives from such second tier and further tier subsidiaries.

Briefly, the definition of a CCO includes organisations that:

- # are subject to the direct or indirect control of one or more local authorities, or
- # have the direct or indirect power to control at least 50% of the votes at any meeting of the members or controlling body or the direct or indirect right to appoint at least 50% of the trustees, directors or managers of the organisation.

Local authorities are liable for tax on any income they derive from port companies (or their subsidiaries) or energy companies that are under their control.

Before the 2022 amendments, the income of a local authority was exempt from income tax except for income earned from a CCO, a port company or an energy company. The purpose of taxing income derived by a local authority from these types of entities is to prevent profit shifting from these taxable entities to exempt local authorities. In the absence of this provision, there is a risk that income could be moved tax-free to the local authority by the authority charging the entity above-market rental or management fees. This would result in an unbalanced tax position. The deduction would be deductible to the entity, but the income not taxable to the local authority due to its tax-exempt status.

Dividends derived by a local authority from a CCO, or from an energy company or port company or its subsidiary under the local authority's control, fall outside the tax exemption for intercorporate dividends.

Charitable and/or district improvement income tax exemptions do not apply to most CCOs or local authorities in respect of income derived from most CCOs (s [CW 39\(4\)](#) and *Wellington Regional Stadium Trust v C of IR* (2004) 21 NZTC 18,648, upheld on appeal to the Court of Appeal: *C of IR v Wellington Regional Stadium Trust* (2005) 22 NZTC 19,445).

Note, applicable from 30 March 2024 the Auckland Future Fund is to be exempt from income tax (s [CW 39B](#)), but subject to GST.

In summary, the tax treatment of CCOs for the for the 2022–23 income year onwards is:

Dividends

Dividends derived by local authorities are exempt from income tax. This improves the coherence of the tax system by aligning the tax treatment of dividends for local authorities with that of other exempt entities. Dividends derived by a holding company CCO from a CCO with 100% public ownership are also exempt from tax. This ensures local authorities that use a CCO as a holding company are not disadvantaged.

Corporate gifting

From 1 April 2022, a local authority is not allowed a corporate deduction for a charitable or other public benefit gift.

Imputation credit accounts

A local authority that is a member of a consolidated group is not able to make a credit entry to the group's ICA for dividends received from a group member. This is consistent with the legislative settings for a local authority not being allowed to maintain an ICA on its own account.

For detailed discussion on the tax treatment of CCOs, see *Tax Information Bulletin* [¶245-102 Vol 24, No 5](#), June 2022 at 18.

For the position before 1 April 2022, see CCH, *Master Tax Guide 2022*.

Law: IT07 ss [CW 39\(2\)–\(5\)](#), [CW 39B](#), [CW 40\(2\)](#), [CW 41\(4\)](#), [CW 42\(2\)](#), [YA 1](#) (“[council-controlled organisation](#)”, “[local authority](#)”)

Last reviewed on 31 December 2025

Harbour boards [¶24-040]

[¶24-040]

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As part of the government's policy to privatise certain State enterprises, port companies were established in 1988 to purchase the property and assets of harbour boards and to carry out port-related commercial activities. Most port companies are now owned by local authorities, regional councils or other shareholder entities. Therefore, amounts derived from a port-related commercial undertaking are treated as income.

Example:

Some of the tax issues faced by the Auckland Harbour Board upon restructuring under the Port Companies Act 1988 were considered by the High Court. The case considered deductions that the taxpayer had claimed for depreciation on the disposal of assets, ordinary depreciation, legal fees, establishment costs and the expenditure arising from the base price adjustment under the financial arrangements rules on the transfer of a financial arrangement. See *Auckland Harbour Board v C of IR* (1998) 18 NZTC 13,826 and (1999) 19 NZTC 15,433 (CA). The financial arrangements issue was appealed to the Privy Council. See *C of IR v Auckland Harbour Board* (2001) 20 NZTC 17,008 (PC).

Law: IT07 s [CW 39\(5\)](#)

Last reviewed on 31 December 2025

Building societies [¶24-050]

[¶24-050]

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A building society's taxable income will include all receipts of income against which it may deduct expenses incurred in earning those receipts. Tax is levied at the company rate.

Special provision is allowed for a building society to claim a deduction for expenditure arising from borrowing in the form of withdrawable shares (ie dividends on fixed deposit accounts, passbook savings accounts and bonus balloting shares). A deduction may also be claimed for interest and other financial charges that the society incurs in providing money that is used, in that income year, to provide an interest-free loan to the holder of a terminating share (this covers expenses incurred in not actually gaining income) and any amount paid to purchase a balloted loan right from the holder of a terminating share. Under the first of these categories, the building society is able to deduct interest on withdrawable shares on an accrual basis. This is on the footing that the shares constitute a financial arrangement subject to the financial arrangements rules.

Dividends and profits distributed by a building society are treated as income under the Act and cash prizes are also defined as income. For RWT purposes, dividends paid by a building society in relation to withdrawable shares are deemed to be interest.

Law: IT07 ss [CC 6](#), [DV 10](#), [RE 2\(4\)](#), [YA 1](#) ("[building society](#)", "[withdrawable share](#)")

Last reviewed on 31 December 2025

Flat-owning companies [¶24-060]

[¶24-060]

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A flat-owning company normally derives income in the form of subscriptions or levies imposed upon shareholders. This income is applied to meet administration and management costs, as well as depreciation, repairs and maintenance and other outgoings on the property. As a matter of practice, the Commissioner of Inland Revenue (Commissioner) does not assess a flat-owning company on income of this nature. The same practice applies to surplus contributions held in suspense to meet the outgoings to be satisfied in future years. A flat-owning company remains assessable on income not raised by way of subscription to meet outgoings on the property. This means that the company would be assessable on any rents and investment income.

Dividend exemption

Making company property available for the use of any shareholder for inadequate consideration is generally a dividend for tax purposes. However, a dividend does not arise when a flat-owning company makes residential property available to its shareholders. To be eligible for the exemption, the company's constitution must provide for the entitlement of each shareholder to the use of residential property, and the company's assets must be restricted to residential property and funds reserved for maintenance and other outgoings on the property. Natural persons, trustee and company shareholders are all entitled to the exemption (*Tax Information Bulletin* [¶79-101 Vol 7, No 9](#), February 1996 at 1).

Qualifying company regime

A flat-owning company could be a qualifying company (for companies electing before 1 April 2011). However, a flat-owning company is not eligible to be a look-through company ([¶19-165](#)).

Law: IT07 ss [CD 31](#), [HA 6\(1\)](#)

Last reviewed on 31 December 2025

Group investment funds [¶24-070]

[¶24-070]

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The ability to form a group investment fund enables a trustee company to gather the funds of many small investors into an administratively efficient entity. The investors may be estates, trusts or other persons, who request the trustee company to act as an agent in investing funds. Funds from the latter are known as agency funds. A group investment fund may be established only by the Public Trust or by a trustee company under the Trustee Companies Act 1967, Public Trust Office Act 1957 or Public Trust Act 2001.

Basis of taxation

Trustees of a group investment fund are required to file separate returns of “Category A” and “Category B” income. In terms of the core provisions, separate tax liabilities arise for each of these categories of income.

By s [BC 7](#), trustees who derive Category A income (ie schedular income) are required to calculate an income tax liability for that income, under the general calculation provisions, as if it were their only income. This gives rise to a schedular income tax liability. For these purposes, a group investment fund trustee’s schedular taxable income for Category A income (ie income less deductions from investments not giving rise to Category B income) is taxed at the same rate as the corporate tax rate. The current tax rate for Category A income is 28%.

Category B income is income derived from the fund’s traditional activities of investing in authorised trustee investments, eg mortgages, government stock and certain debentures. The trustee is taxed on that Category B income at the rate of 39% (from 1 April 2024, before this date the tax rate was 33%), subject to the trust rules and s [HZ 2](#). The trustee of a fund is deemed to be the agent for any absentee investor’s distributions from the fund.

The tax rate for Category B income depends on whether the group investment fund is a “widely-held GIF”. Widely-held GIFs are taxed at the rate of 28% on both their Category A and B income, whereas group investment funds that are not widely-held continue to be taxed at the trustee rate of 39% on their Category B income and at the rate of 28% on their Category A income. A widely-held GIF is one that satisfies the investor membership requirements for an entity other than a company in the portfolio investment entity (PIE) rules (s [HM 14\(1\)](#)) and one or more of paras [\(a\)](#) and [\(c\)–\(e\)](#) of the definition of a “public unit trust” (s [YA 1](#) and [¶24-192](#)).

Distributions from a group investment fund

The definition of a “company” includes a trustee of a group investment fund (other than a designated group investment fund) but only in respect of its Category A income. Distributions of Category A income to investors are treated as dividends (ss [CD 4](#) and [YA 1](#) (“company” and “share”). Distributions of Category B income are treated as distributions from a trust and subject to the trust rules ([¶25-310](#)).

When the trustee or manager of a group investment fund deriving Category A income (or a person nominated by the trustee or manager) redeems investors’ interests in the ordinary course of business, the dividend derived by the investor does not include any imputation credits attached to the dividend to the extent to which it constitutes a recovery of the purchase price ([¶16-630](#)).

In certain circumstances, where an interest in an unlisted group investment fund is redeemed or cancelled the redemption amount (or part of it) may be excluded from being a dividend. For a further discussion of the tax treatment of redemptions by group investment funds and a discussion of whether the ordering rule or slice rule will apply to those redemptions, see [¶16-705](#) and [¶24-190](#). It should be noted that if a superannuation fund held an interest in a group investment fund on 1 April 1999, any subsequent redemption of that interest by the group investment fund will not be subject to the slice rule, unless the group investment fund’s trustee elected otherwise before that date.

Deductibility of management fees

Under the Trustee Companies Amendment Act 2002, a trustee company can charge a fee to the group investment fund for its management services. These fees are deductible to the group investment fund in accordance with the general permission in s [DA 1](#).

Transfer of expenditure

Group investment funds investing in unit trusts or in other group investment funds incur expenditure on administration and management but may only derive dividend income that is usually fully imputed. Unless the group investment fund has income from another source, such as interest, the group investment fund accumulates excess credits that it cannot use. There are provisions that allow group investment funds to use their excess imputation credits without the need to enter into arrangements to ensure they have income streams to absorb them. A group investment fund deriving Category A income (member fund) that invests in a public unit trust or another group investment fund deriving Category A income (master fund) can elect to transfer expenditure to that master fund. A “public unit trust” is defined as either a retail unit trust (whose units are offered to the public and that has a hundred or more unit holders) or a wholesale unit trust (whose units are held by widely held investment vehicles such as other unit trusts or superannuation funds) ([¶24-192](#)).

All expenditure can be transferred, other than expenditure on revenue account property and expenditure on some financial arrangements. The master fund is able to deduct the expenditure, and the expenditure is treated as not having been incurred by the member fund. The master fund cannot deduct more than its taxable income for the year in which the income is transferred, less all non-resident passive income derived by the master fund in that year. For expenditure to be transferred, the member fund must have funds invested in the master fund at all times between the date on which the member fund incurs the expenditure and the last day of the tax year in which the expenditure is deducted by the master fund. If the master fund is a multi-rate PIE ([¶29-115](#)), the master fund is allowed a deduction for the expenditure transferred from a member fund. However, the amount transferred must not be more than the member fund’s share of the multi-rate PIE’s taxable income.

Any amount paid to the member fund by the master fund for the expenditure transferred is not income or a dividend for tax purposes (*Tax Information Bulletin* [¶1311-114 Vol 13, No 11](#), November 2001 at 39).

The expenditure transferred gives rise to a credit in the master fund’s ICA on 31 March of the tax year in which the expenditure is deducted. Similarly, the expenditure transferred gives rise to a debit in the member fund’s ICA on 31 March of the tax year in which the expenditure is transferred. If the debit to the member fund’s ICA in these circumstances results in a debit balance, there is no requirement to pay further income tax on the debit arising on transfer of the expenditure.

Available subscribed capital accounts (ASCA)

A group investment fund commonly overpays tax to counteract the loss of available subscribed capital when redemption payments are made to investors at less than the amount subscribed (commonly known as the “negative dividend” issue). Some public unit trusts are also affected by this issue ([¶24-192](#)). The situation usually arises when the group investment fund (or public unit trust) elects to use the “slice rule” for determining the tax treatment of the proceeds from the redemption of interests ([¶24-190](#)).

To preserve the available subscribed capital, a group investment fund deriving Category A income that is not a multi-rate PIE ([¶29-115](#)) can maintain an available subscribed capital account (ASCA). The ASCA rules also apply to public unit trusts. Specific provisions governing ASCAs are contained in subpart [OF](#) of the IT07. These supplement the general provisions applying to memorandum accounts. Generally, the ASCA is a memorandum account that records the amounts of available subscribed capital contributed by investors but not returned to them on redemption of their interests. The balance in the ASCA can be converted to imputation credits and transferred to the group investment fund’s ICA at the end of a tax year or when the

group investment fund ceases to operate an ICA. Only an ASCA balance sufficient to meet the debit balance in the group investment fund's ICA can be converted and transferred.

If a group investment fund deriving Category A income has never established an ASCA, one may be established upon liquidation by carrying out the calculation in accordance with s [OZ 5](#). In this case, the result of the calculation will be the closing balance of the ASCA.

The Commissioner has the power to correct any incorrect or omitted credit or debit entry in the ASCA. In doing so, they must determine the correct debit or credit amount and the date on which the debit or credit should be recorded. The correction is made by giving a notice of a determination. However, failure to give notice does not invalidate a determination. The determination may be given separately or included in a notice of assessment. Unless the determination is challenged, the ASCA must be corrected in accordance with the determination.

For discussion on the impact of the ASCA on tax refunds due, see [¶17-105](#).

Law: IT07 ss [BC 7](#), [CD 16](#), [CZ 14](#), [DV 5–DV 7](#), [HD 23](#), [HR 2](#), [HR 3](#), [OA 2\(5\)](#), [OB 19](#), [OB 46](#), [OB 65\(2\)](#), [OF 1–OF 5](#), [OZ 5](#), [OZ 6](#), [YA 1](#) (“company”, “group investment fund”, “public unit trust”, “share”, “widely-held GIF”), Sch [1](#) pt [A](#) cls [3–6](#); TAA s [104B](#)

Last reviewed on 31 December 2025

Basis of taxation of clubs, societies and associations [¶24-080]

[¶24-080]

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The definition of a company is very wide and applies to companies incorporated under the Companies Act 1993, unit trusts, incorporated societies and clubs and credit unions registered under the Friendly Societies and Credit Unions Act 1982. The effect of this definition is that any club, society, association or trade union is liable to be treated for tax purposes as if it were an ordinary company. If the association is not incorporated, it would be taxable as if it were an individual person. There are many special rules that create significant exceptions to this general position.

On 5 April 2022, the Incorporated Societies Act 2022 received Royal assent. The purpose of the Act is to put in place a modern framework of basic legal, governance, and accountability obligations for incorporated societies and the individuals who run them.

Summary

A mutual association is taxed on certain types of transactions under the special basis of taxation provided for mainly in subpart [HE](#) ([¶24-090](#)).

There is a limited concession available to non-profit bodies in the form of a special deduction. Non-profit bodies may claim a deduction for the lesser of \$1,000 or the amount that would be the net income of the body but for that section ([¶24-120](#)).

Amounts derived by a friendly society are generally treated as exempt income so long as those amounts are derived within the circle of membership ([¶24-131](#)).

Subpart [CW](#) contains a number of other exemptions for various bodies including sporting bodies ([¶24-130](#)), racing clubs and certain other racing organisations ([¶24-136](#)), scientific or industrial research promoters ([¶24-135](#)), district improvement bodies ([¶24-137](#)), veterinary services and herd improvement bodies ([¶24-139](#)).

It may be a requirement of these exemptions that an organisation's funds must not be used or be available for use by any member, proprietor, shareholder, or any of their associates, as applicable.

Qualifying for an exemption

Apart from friendly societies (which are registered under a specified Act), there are 3 main conditions that an organisation has to meet if it is to qualify for any of the exemptions. First, the Commissioner must consider and approve any application (ie see the rules, certificate of incorporation, etc). Secondly, the main aims and activities of the organisation should meet the specific requirements of the section for which the exemption is requested. Thirdly, no part of the organisation's income or other funds is to be used or be available for the private use of any member or an associated person of any member.

When the club, society or association is unable to attract any of these exemptions, it becomes taxable on the same basis as any other taxpayer.

IR's policy on taxation of clubs and societies

IR has consistently adopted the policy that clubs, societies and other similar non-profit organisations are not required to return as income amounts derived from certain member transactions. These are also known as trading "within the circle of membership" ([¶24-090](#)). Examples include membership subscriptions or levies. However, income arising from certain transactions with members (such as the sale of trading stock to members or the supply of services) appears to be subject to income tax in the normal way (IR9G, "Clubs or societies return guide 2025", March 2025 at 17).

Law: IT07 s [YA 1](#) (“company”)

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Mutual associations [¶24-090]

[¶24-090]

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Generally speaking, a mutual association is not subject to tax on any profits derived within the circle of the association's membership. Therefore, it follows that income from members, in particular subscriptions, is not taxable. This concept is commonly referred to as the mutuality principle. The mutuality principle applies to trading transactions but not to gifts. See IR newsletter, *AGENTSanswers*, June 2003 and October 2003 (the latter discusses allowable deductions for a mutual association), and IR9G, "Clubs or societies return guide 2025", March 2025 at 17. However, the IT07 overrides the general principle to include in income amounts derived from certain types of member transactions.

The effect is that the association is required to include in its income all profits arising from both member and non-member transactions.

The mutual association is allowed a deduction for rebates paid to members for their transactions with the association to the extent that those rebates do not exceed the profit attributable to mutual transactions.

Mutual transactions

Mutual transactions include:

- # money lending or borrowing transactions between members and the association
- # for an association that is a statutory producer board, produce transactions and the payment of levies to the statutory producer board by its members.

IR notes that income from the sale of trading stock and the supply of services to members is subject to tax in IR9G, "Clubs or societies return guide 2025", March 2025 at 17.

Rebates paid to members

An association rebate is any payment to members by way of distribution of the association's profits. That distribution must be made no later than 6 months after the end of the association's trading year. Cash distributions made by statutory producer boards or co-operative companies are excluded, as are capital distributions on liquidation or emigration and payments corresponding to notional distributions. Subject to an appropriate election being made, these amounts are treated as dividends with imputation credits attached.

Deductions

The amount an association is allowed to deduct against the income deemed to have been derived from mutual transactions is expressed as a formula.

The allowable deduction is the lesser of:

- # the total rebates paid to members for their transactions with the association in that income year (only rebates arising in relation to mutual transactions are taken into account for these purposes — rebates are calculated by reference to the amounts of the mutual transactions, irrespective of whether the rebate is reduced or limited by the member's capital contribution), and
- # income from mutual transactions less deductions relating to that income and distributions in accordance with s [OB 82\(1\)\(a\)](#) (cash distributions by a co-operative company with imputation credits attached).

Apportionment

In making their determination as to the profits attributable to the mutual transactions, the Commissioner may apportion any expenditure or loss incurred by the association in the income year between member transactions and non-member transactions.

Rebate deemed not to be a bonus issue

An incorporated association may satisfy its obligation to pay a rebate by issuing fully paid-up or partly paid-up shares, or by giving credit in respect of those shares. In such a case, that rebate is not deemed to be a bonus issue.

Demutualisation

Upon the demutualisation of a mutual association, members generally exchange the rights they hold in the mutual association for rights as shareholders in a company. Ordinarily, this would create shareholder continuity issues for the purposes of the net loss carry-forward and imputation rules. However, provision is made by s [YC 17](#) for the demutualisation of insurers to preserve imputation credits and losses for carry-forward where existing members exchange their rights for shares.

Rebates in the hands of members

Rebates that relate to business transactions between the member and the association are treated as income in the hands of the member. If, however, the transactions or any part of them relate to non-business activities, rebates for such activities are not income. Where a rebate or any part of a rebate exceeds the profit attributable to the member's transactions with the association, the amount of the excess is treated as a dividend to the member and as such is required to be included in their income.

Law: IT07 ss [CB 33](#), [CB 34](#), [DV 19](#), [HE 1](#)–[HE 5](#), [YA 1](#) (“[association](#)”, “[member](#)”), [YC 17](#)

Last reviewed on 31 December 2025

Non-profit organisations [¶24-120]

[¶24-120]

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Non-profit organisations are subject to income tax, unless there is a specific exemption available. However, some non-profit bodies are entitled to a deduction for the lesser of \$1,000 or the amount that would be the net income of the body but for that concession.

This deduction is allowed to:

- # an organisation that is not carried on for the purposes of profit to any proprietor, member or shareholder, and
- # an organisation that has a constitution prohibiting any distribution of money or property to any proprietor, member or shareholder.

The deduction is available to both incorporated and unincorporated organisations, such as:

- # associations established for community purposes not falling within the exemption for charitable organisations
- # trade associations
- # progressive associations
- # political parties
- # social clubs, and
- # sporting clubs that do not come within the exemption for amateur sporting bodies.

The exemption for sporting clubs is considered further at [¶24-130](#).

Law: IT07 s [DV 8](#)

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Sports clubs [¶24-130]

[¶24-130]

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Amounts derived by any club, society, association or trustee or trustees of a trust (the promoter) established mainly to promote any amateur game or sport, for the recreation or entertainment of the general public, are treated as exempt income. The requirements that must be satisfied before the exemption is available are that the promoter must be established mainly for the purpose of promoting any amateur game or sport and that the game or sport must be conducted for the recreation or entertainment of the general public and no part of the income or funds of the promoter may be available to be used for the private pecuniary profit of any proprietor, member, shareholder or beneficiary. In reviewing what the main purpose of a sports club might be, the Commissioner would look to all the surrounding circumstances, including the promoter's constitution or trust deed and activities carried on for a particular tax year.

Qualifying pastimes

Virtually any pastime will qualify providing all the conditions listed above are met. District and national wrestling/boxing associations, clubs and associations connected with amateur cricket, tennis, golf, rugby, rugby league and association football would all qualify, as would dance, cultural, car, chess, gun, art and craft and music clubs. A club that also has professional activities could still qualify so long as IR is satisfied the club is promoting amateur games or sport and the club's share of any professional event is used to promote the amateur games or sport.

Fringe benefit tax

Even though a sports club enjoys a concession for income tax purposes, it is still required to file FBT returns and account for FBT if it provides benefits for employees. This would be the case, for instance, if an employee of a sports club used the club's motor vehicle for private purposes ([¶21-010](#)).

Law: IT07 s [CW 46](#)

Last reviewed on 31 December 2025

Friendly societies [¶24-131]

[¶24-131]

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Amounts derived by a friendly society, except for income from a business carried on outside its circle of membership, are treated as exempt income. Deciding a particular organisation is a friendly society depends on whether it is registered under the Friendly Societies and Credit Unions Act 1982. Interest and rental income from a friendly society investment is usually tax exempt. However, if the society is clearly making a business of renting or leasing premises, any income would be taxable as business income. The rules relating to interest incurred on lending related to residential rental properties will apply to these entities ([¶10-814](#)).

Example:

Equity payments received and invested by a union over a number of years were held by the Court of Appeal to be exempt from income tax. The payments were not derived from “business carried on”. See *C of IR v Port Chalmers Waterfront Workers Union* (1996) 17 NZTC 12,523 (CA).

Credit unions

A credit union is included in the definition of “friendly society”. Such organisations are therefore exempt from tax except for any income derived from business carried on beyond its circle of membership. Any payments made to a member of the credit union are taxed in the member’s hands. Payments made to members are treated as interest and not dividends. Accordingly, these payments are deductible to the union. This tax treatment is largely historical.

Law: IT07 ss [CW 44](#), [YA 1](#) (“friendly society”)

Last reviewed on 31 December 2025

Community housing trusts and companies [¶24-132]

[¶24-132]

[Click to open document in a browser](#)

A tax exemption exists for income derived by community housing entities (trustees or companies) whose activities involve the provision of housing or housing assistance. The exemption for an eligible community housing entity is intended to apply to all income derived by the entity, not simply the income derived from the entity's housing activity.

Requirements

To benefit from the exemption, the community housing entity must be a registered community housing provider under the Public and Community Housing Management Act 1992, and it must ensure that its activities are not carried on for the private pecuniary profit of any individual, and all profits are retained, or distributed or applied to specific classes of recipients. The class of recipients includes other community housing entities, beneficiaries or clients of the entity, tax charities and persons to whom distributions would be in accordance with charitable purposes.

Control test

In addition to the above, no person with some control over the activities must be able to divert amounts for the benefit or advantage of:

- # if the entity (the operating entity) is carrying on the activities for or for the benefit of a community housing entity or charity (the controlling entity), a person other than the operating entity or the controlling entity except for a purpose of either entity or for a charitable purpose, or
- # in any other case, a person other than the entity except for a purpose of the entity or a charitable purpose.

A person is treated as having some control and being able to divert amounts if they satisfy the criteria in s [CW 42\(5\)](#) and [\(6\)](#), discussed in [¶24-210](#).

Note that issues with the application of a previous control test were identified where wholly-owned subsidiaries carried out the activities ([¶24-210](#)), but retrospective amendments were made to ensure that when a community housing entity is itself a wholly-owned subsidiary of a charitable trust or another community housing entity, the wholly-owned subsidiary is eligible for the community housing entity tax exemption. A similar amendment was made for subsidiaries of other charitable entities ([¶24-210](#)) and tertiary education institutions ([¶24-275](#)).

Exclusions

An entity will not be a community housing entity if:

- # more than 15% of the people who become beneficiaries or clients of the entity on or after 14 April 2014 have income or assets exceeding a value (the entry threshold) set out in [Sch 34](#), or
- # the provision of housing or housing assistance to those people with income or assets not exceeding the entry threshold is substantially different from that provided to those who do exceed the threshold.

Whether a person has income or assets that exceed the entry threshold is determined on the date they become a beneficiary or client of the entity.

Income threshold

[Schedule 34](#) provides that the income threshold is set at \$85,000 for an individual and \$130,000 for a group of applicants, eg a couple. If a person carries on a business, their income will be their net income from their

business for the previous 12 months. In other cases, it will be the assessable income derived in the previous 12 months.

Asset threshold

There is no asset test for first home buyers. For others, the threshold asset value is set at \$120,000 if the proposed purchase is of land in Auckland, \$100,000 if the purchase is in Hamilton City, Tauranga City, Western Bay of Plenty District, Kapiti Coast District, Porirua City, Upper Hutt City, Hutt City, Wellington City, Nelson City, Tasman District, Waimakariri District, Christchurch City, Selwyn District or Queenstown Lakes District, and \$80,000 for any other area in New Zealand.

A person's asset value is defined as the total value of property owned by the person that is available to the person for the purchase of land and is:

- # money in a bank account, including a fixed or term deposit
- # a share, stock or bond
- # an investment in a bank or financial institution
- # money paid to, or held by, a real estate agent or solicitor as a deposit in the purchase of a home
- # a boat or caravan with a value of more than \$5,000
- # a vehicle not being used as a usual method of transport
- # an asset of another type, with a value of more than \$5,000.

Section [225D](#) of the Tax Administration Act 1994 (TAA) provides for the Governor-General to make regulations, on the combined recommendation of the Minister of Revenue and the Minister of Housing, amending the income and assets threshold values set out in [Sch 34](#).

Goods and Services Tax

Three public binding rulings, [BR Pub 24/01–24/03](#) “GST – Supplies of properties used for transitional housing” consider the GST treatment of supplies of properties by landlords to organisations for use in the Ministry of Housing and Urban Development’s Transitional Housing Programme ([I32-052](#)).

[BR Pub 24/01](#) clarifies that the supply of a property by a landlord will be exempt from GST on the basis that it is supplied with the principal purpose of accommodation in a dwelling. However, certain supplies will not fall within the exemption. [BR Pub 24/02](#) confirms a supply of a property where there is no right to quite enjoyment under the head-lease is a taxable supply and the value of the supply of the head-lease cannot be reduced under s [10\(6\)](#) of the Goods and Services Tax Act 1985. [BR Pub 24/03](#) clarifies that a supply of a “commercial dwelling” under the head-lease is a taxable supply and the value of the supply of the head-lease cannot be reduced under s [10\(6\)](#).

Law: IT07 ss [CW 42B](#), [LD 3\(2\)\(ac\)](#), [Sch 34](#); TAA s [225D](#)

Last reviewed on 31 December 2025

Community trusts [¶24-133]

[¶24-133]

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Exemption

Any amount derived by the trustee of a community trust is exempt from income tax. A community trust is defined in s 4 of the Community Trusts Act 1999 as a community trust established under Pt 2 of the Trustee Banks Restructuring Act 1988 to acquire the shares in the capital of a trustee bank's successor company and for the purposes specified in the Community Trusts Act.

The exemption is intended to reduce compliance costs previously incurred by community trusts in ensuring that distributions made to tax-exempt entities were not subject to income tax and that distributions made to taxable beneficiaries were covered by tax credits (such as imputation credits) received by the community trusts.

Distributions

Distributions from community trusts are not taxed as beneficiary income but are instead included in the income of the recipient by virtue of ss [CV 14](#) and [HC 21](#). This is with the exception of the following amounts, all of which may be distributed tax free:

- # trustee income derived in or before the 2003–04 income year
- # capital gains derived by the trustee
- # corpus of the trust, and
- # amounts received by a community trust in the 2004–05 or 2005–06 income years upon the winding up of a charitable subsidiary or sub-trust.

The distributions are not beneficiary income. By definition, beneficiary income must first be income derived by a trustee. Because income derived by a trustee of a community trust is exempt income, it is not assessable income. Further, the distributions are not taxable distributions. Taxable distributions are only relevant in the context of foreign trusts and non-complying trusts. For more on beneficiary income and taxable distributions, see [¶25-200](#) and [¶25-360](#).

Because a community trust is a purpose trust, it does not have beneficiaries. It follows that such trusts are not affected by the associated persons rules dealing with beneficiaries.

Distributions from community trusts continue to be exempt in the hands of tax-exempt persons and taxable at the appropriate marginal rates of tax in other cases. Persons liable for tax must account for their own tax on distributions rather than the trustee of the community trust being accountable for the tax as agent.

Note also that imputation credits will not be available for attaching to distributions made. This is because the distributions are not beneficiary income (which retains the same character as when the income was derived by the trustee) but constitute a new category of income to which imputation credits do not automatically attach.

Law: IT07 ss [CV 14](#), [CW 52](#), [HC 21](#), [HD 12\(1\)](#), [YA 1](#) (“community trust”)

Last reviewed on 31 December 2025

Funeral expenses funds and sickness, accident or death benefit funds [¶24-134]

[¶24-134]

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Funeral expenses funds

Interest or dividend income derived after 25 November 2003 by any trustee in trust for certain employer funds is exempt from income tax. The exemption applies if all of the following criteria are met:

- # the sole purpose of the fund is the payment of the funeral expenses of employees, their spouses, civil union partners, de facto partners and dependants or surviving spouses, civil union partners, de facto partners and surviving dependants of deceased employees
- # the employer has at least 10 employees
- # all persons eligible for benefits from the fund have equal eligibility
- # no contributions to the fund are made by a person who is not the employer or an employee, and
- # the fund is approved by the Commissioner.

Sickness, accident or death benefit funds

The income tax exemption for income derived by a trustee in trust for any sickness, accident or death benefit fund was repealed from 25 November 2003 (former s [CB 5\(1\)\(i\)](#) of the Income Tax Act 1994). The removal of this exemption raised the possible compliance costs of certain funds that had mutuality characteristics that resembled a friendly society (an entity exempt from income tax, [¶24-131](#)). To relieve this cost, an income tax exemption continues to be available under s [CZ 18](#) of the IT07 to a person who was an incorporated body or a trustee, provided health insurance, accident insurance, life insurance or other health and welfare benefits to natural persons, and was approved by the Commissioner on or before 24 November 2003.

Law: IT07 ss [CW 45](#), [CZ 18](#)

Last reviewed on 31 December 2025

Scientific or industrial research promoters [¶24-135]

[¶24-135]

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Amounts derived by a society or an association established mainly to promote or encourage scientific or industrial research are treated as exempt income. The promoter must be approved by the Royal Society of New Zealand and none of the amounts derived must be used or be available for use for the private pecuniary profit of a member, proprietor, shareholder or any associates. Crown Research Institutes (CRIs) are excluded from this exemption.

Law: IT07 s [CW 49](#)

Last reviewed on 31 December 2025

Racing clubs and organisations [¶24-136]

[¶24-136]

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Amounts derived by most racing clubs are exempt income provided that members of the club are not able to use the club's funds for their own private profit-making purposes. The income of the following organisations is also exempt: New Zealand Thoroughbred Racing, TAB NZ (before 1 August 2020, the Racing Industry Transition Agency), Harness Racing New Zealand, the New Zealand Greyhound Racing Association and the Racing Integrity Board and Racing New Zealand.

Law: IT07 s [CW 47](#)

Last reviewed on 31 December 2025

District improvement bodies [¶24-137]

[¶24-137]

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Amounts derived by any society or association established mainly to advertise, beautify or develop any city, borough or other district to attract trade, tourists, visitors or population or to create, increase, expand or develop amenities for the general public in a city or district are treated as exempt income. The society's income or other funds cannot be used or be available for use for anything that is not a charitable purpose. To qualify as charitable, the organisation's aims must generally be for the public good and the benefit must be available to a large part of the community ([¶24-240](#)). A club or association of a certain interest group would generally not qualify because it would not benefit the public. There is a specific exemption for income derived by the trustees of Auckland's Cornwall Park from the property of the trust. Amounts derived by a CCO, or a local authority from a CCO, are specifically excluded from the exemption.

Law: IT07 s [CW 40](#)

Last reviewed on 31 December 2025

Veterinary services and herd improvement bodies [¶24-139]

[¶24-139]

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Income derived by any veterinary club, society or association established mainly to promote efficient veterinary services in New Zealand is exempt, provided its funds are not used or available for use for members' private profit-making purposes. Income derived by the Veterinary Council of New Zealand is also exempt. Equally, income derived by a herd improvement society or association established mainly to promote the improvement of the standard of dairy cattle in New Zealand is exempt, provided funds are not used for the private pecuniary profit of its members.

Law: IT07 ss [CW 50](#), [CW 51](#)

Last reviewed on 31 December 2025

Statutory producer boards [¶24-140]

[¶24-140]

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A “statutory producer board” is included in the definition of a company, and its activity treated as a business. The term “statutory producer board” encompasses the following bodies:

- # New Zealand Horticulture Export Authority
- # New Zealand Meat Board
- # New Zealand Pork Industry Board
- # marketing authorities established by regulation under the Primary Products Marketing Act 1953, and
- # primary producer boards and marketing boards established under any Act.

Levies received by a statutory producer board are, except for those charged for capital development, deemed to be income.

Deduction for expenditure

The general permission in s [DA 1](#) applies to expenditure incurred by the board in fulfilling its functions as if the expenditure were incurred in the derivation of assessable income or in the carrying on of a business by the board (s [CV 5](#)).

Association rebates

A statutory producer board is also an “association” within the meaning given to that term in s [YA 1](#) ([¶24-090](#)). Consequently, it is permitted a deduction of the aggregate of the amount of rebates paid to members for their transactions with the board during the year. A statutory producer board may claim the deduction either for the income year in which the rebates are paid or for the income year in which the transactions giving rise to the rebates took place. Rebates that relate to business transactions between the member and the association are included as income in the hands of the member. If, however, the transactions or any part of them relate to non-business activities, rebates for such activities are not liable for tax. Where a rebate or any part of a rebate exceeds the profit attributable to the member’s transactions with the association, the amount of the excess is treated as a dividend to the member and liable to tax in their hands ([¶24-090](#)).

Law: IT07 ss [CB 34](#), [CV 5](#), [DV 19](#), [YA 1](#) (“association”, “company”, “statutory producer board”), [Sch 37](#)

Last reviewed on 31 December 2025

Statutory producer boards — imputation [¶24-150]

[¶24-150]

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A statutory producer board may make a distribution to members by way of rebate or in one of 2 other ways. The first is a non-deductible cash distribution based on levies payable by members or on member transactions. This is taxed as a dividend. The second is a notional distribution (similar to a taxable bonus issue) again based on produce transactions and levies payable by members. If the board makes a notional distribution, it is subsequently allowed to distribute a tax-free cash distribution based on the notional amount (s [CD 33](#)).

Section [CD 33](#) applies to cash distributions based on current year trading activities with members and shareholders, ie the produce activities in the year to which the distribution relates. A member includes any person who is required to pay a levy to the statutory producer board or who during that year supplies produce or goods to the board in respect of its primary statutory functions.

If the statutory producer board is an ICA company, it may attach imputation credits to both cash and notional distributions. If imputation credits are attached to a notional distribution, the distribution will be a dividend. It should be noted that a rebate for the purposes of s [DV 19](#) excludes distributions to which an imputation credit is attached by a statutory producer board or co-operative ([¶24-090](#)).

Imputation credits allocated to cash distributions

The allocation of imputation credits to cash distributions must be done in accordance with the formulae in s [OB 73](#). These formulae determine the sum total of imputation credits to be attached for the benefit of all members and the proportionate share of that total to be allocated to each member. Notification of the election to attach imputation credits to a cash distribution must be made within the time for filing the tax return.

Imputation credits attached to notional distributions

The amount of imputation credits to be attached to a notional distribution is calculated under one of 4 alternatives:

- # a formula based on member produce transactions
- # a formula relating to member levies
- # partly in accordance with both produce transactions and levies, or
- # in such other manner as the Commissioner may approve.

The amount of the dividend derived by each member is the amount calculated under the formula in s [OB 75](#). The effect of this formula is to exclude the amount of the imputation credit from the calculation of the notional dividend. The imputation credit is treated as being a part of the dividend and is assessable in the same way as all other imputation credits. This treatment ensures that the imputation credits attached to notional distributions made by statutory producer boards (and co-operative companies ([¶24-160](#))) can be used by the recipients of the distributions.

Details of the deemed dividend paid must be provided to the Commissioner with the tax return for the income year in which the determination is made.

Law: IT07 ss [CD 6\(3\)](#), [CD 13](#), [CD 33\(1\)](#), [DV 18](#), [OB 73–OB 77](#), [YA 1](#) (“statutory producer board”)

Last reviewed on 31 December 2025

Co-operative companies [¶24-160]

[¶24-160]

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Co-operative companies are taxed in the same way as mutual associations, ie amounts derived from member and non-member transactions are included as income with a corresponding deduction allowed for certain rebates paid to certain members ([¶24-090](#)). Co-operatives that are ICA companies may allocate imputation credits to cash distributions and to notional distributions in the same way as statutory producer boards ([¶24-150](#)).

With effect from 26 June 2019, it has been clarified that a co-operative company may elect to make a fully imputed cash distribution of profits attributable to a specific group of shareholders of the company, provided:

- # the company's constitution permits distributions to be made to a specific group of members, and
- # the amount paid to each shareholder is determined by the level of trading activity between the members and the company.

This permits a co-operative company to choose to distribute profits attributable to a specific group to that group as either a tax deductible association rebate or a non-deductible fully imputed cash distribution, which is treated as a dividend.

Imputation credits may be attached to non-rebate cash distributions or non-cash notional distributions, which are deemed to be dividends and income in the recipients' hands. Should the co-operative company make any further distribution out of the source of a notional distribution, that distribution is excluded from the dividends concept. The tax-free portion may be based on the current year trading activities with shareholders, ie the produce activities in the year to which the cash distribution relates.

A co-operative company that is a Māori authority may attach Māori authority credits to cash distributions and notional distributions in the same way as imputation credits may be attached to such distributions ([¶24-324](#)).

Law: IT07 ss [CD 6\(4\)](#), [CD 13](#), [CD 33\(2\)](#), [DV 18](#), [OB 78–OB 82](#)

Last reviewed on 31 December 2025

Unit trusts [¶24-190]

[¶24-190]

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A unit trust is deemed to be a company for tax purposes. The unit holder is deemed to be a shareholder, the units are deemed to be shares and distributions are deemed to be dividends. A “unit trust” is defined as being any scheme or arrangement that is made for the purpose of, or has the effect of, providing facilities for the participation by the subscribers, purchasers or contributors in the income and gains earned by the trust. That income may be of a capital or revenue nature, and the subscribers must participate in it as beneficiaries under a trust. Certain arrangements are expressly excluded from this definition:

- # a trust for the benefit of debenture holders
- # the Common Fund of Public Trust or any group investment fund established by Public Trust
- # the Common Fund of the Māori Trustee
- # a group investment fund established under the Trustees Companies Act 1967
- # a registered friendly society
- # a superannuation fund
- # an employee share purchase scheme
- # a funeral trust, and
- # any other trust declared by the Governor-General by Order in Council not to be a unit trust for the purposes of s [HD 13](#) (trustee as agent of unit trust).

The essential notion of the unit trust concept is that the scheme or arrangement must be in the nature of a trust. The concept would not therefore apply to a partnership, syndicate or joint venture. In these instances, the participants in the arrangement directly manage and control the undertaking. Many small investment clubs would also not be regarded as unit trusts.

Single unit holder

Interpretation statement, [IS 16/02](#), “Income tax — Unit trusts — when a unit trust can have a single unit holder”, sets out the Commissioner’s view that a trust with a single subscriber, purchaser or contributor can be within the definition of “unit trust” in the IT07. The item concludes that the “unit trust” definition requires only that the trust scheme or arrangement is “made for the purpose” or “has the effect” of providing facilities for multiple unit holders. This is to be determined by considering the legal relationships governing the trust — most importantly, the trust deed.

The view taken in this statement differs from the Commissioner’s previously published position set out in the commentary to [BR Pub 95/5A](#): “Relationship between the ‘unit trust’ and ‘qualifying trust’ definitions”, which stated that to be a “unit trust” for income tax purposes required more than one unit holder (discussed below).

Unit trust versus complying trust

In some cases, a unit trust may also fall within the definition of a complying trust under subpart [HC](#). In public binding rulings [BR Pub 95/5](#) and [BR Pub 95/5A](#), the Commissioner set out the relationship between unit trusts and qualifying trusts (now complying trusts). Where a trust falls within both definitions, the unit trust rules prevail (s [HC 1\(2\)\(a\)](#)). [BR Pub 95/5A](#) (which replaced [BR Pub 95/5](#)) expired at the end of the 1999–2000 income year and was not renewed. However, the Commissioner’s view on the subject is unchanged.

Family trusts do not come within the unit trust regime since beneficiaries do not subscribe, purchase or contribute for their entitlement to distributions from the trust. However, some family trading trusts that provide for settlors to benefit in a fixed way might come within the unit trust definition.

Unit trusts and imputation

Tax paid by the unit trust is credited to the ICA and resident unit holders are entitled to imputation credits to the extent to which they are allocated to income distributions. Where units are redeemed, a debit will arise to the ICA if the circumstances in s [OB 45](#) (or s [OP 45](#) in the case of consolidated imputation groups) apply ([¶17-045](#)).

When the manager of a unit trust (or a person nominated by the manager) redeems units from unit holders in the ordinary course of business, the dividend derived does not include any imputation credits attached to the dividend to the extent it constitutes a recovery of the purchase price (s [CD 16](#) and [¶16-630](#)).

Redemption of units

An amount paid by the manager of a unit trust upon the redemption of a unit may not be a dividend. Like companies, unlisted unit trusts (and group investment funds) must apply either the ordering rule or the slice rule to ascertain the amount of available subscribed capital that may be attributed to a redeemed unit, and therefore, be excluded from being a dividend.

Since 1 April 1996, unlisted unit trusts (and group investment funds) have had the option of issuing units on the basis that the ordering rule under s [CD 22\(2\)](#) will not apply to their cancellation or redemption. (Any units issued before that date were deemed to be issued on terms that their redemption was to be subject to the ordering rule, unless the manager elected before 31 March 1996 for those units to be redeemed under the slice rule (s [CZ 13](#)).

Broadly, when the “ordering” rule applies to a redemption, the proceeds from the redemption are taken first from the available subscribed capital of the particular class of unit being redeemed. To the extent that there is sufficient available subscribed capital for the class of units and one of the bright line tests in s [CD 22\(3\)](#) is met, the proceeds of the redemption will not be a dividend. On the other hand, if the “slice” rule in s [CD 22\(4\)](#) is applied, that part of the redemption that does not exceed the available “subscribed capital per share” (rather than the “subscribed capital per share cancelled”, as applies in the ordering rule) is excluded from tax. There is no requirement for the bright line tests in s [CD 22\(3\)](#) to be met when the slice rule is applied. For further discussion of the application of the ordering rule and the slice rule, see [¶16-770](#).

For further detailed commentary on the taxation of unit trusts, see [¶79-113 Vol 7, No 9](#), at 7 and “Corporate tax regime for unit trusts now permanent” by Tony Lines in CCH, *New Zealand Tax Planning Report*, No 1, March 1996 at 5.

Qualifying company regime

Unit trusts did not qualify for the qualifying company regime (s [HA 2](#)). Companies can no longer elect to be qualifying companies for income years beginning on or after 1 April 2011 ([¶19-010](#)).

Bonus issues by foreign unit trusts

In relation to unit trusts that are foreign companies, a bonus issue made to a unit holder is a taxable bonus issue if the bonus issue is made instead of causing a beneficial interest in money or property of the unit trust to vest absolutely in the unit holder ([¶16-573](#)).

Solicitors’ nominee company

The Commissioner will not normally treat a solicitors’ nominee company as a unit trust. This practice applies providing the company adopts the draft memorandum of association formulated by the Law Society for nominee companies.

Law: IT07 ss [CD 10](#), [CD 16](#), [CD 22](#), [CZ 13](#), [HA 2](#), [HC 1\(2\)\(a\)](#), [HD 13](#), [OB 45](#), [OP 45](#), [YA 1](#) (“unit trust”)

Last reviewed on 31 December 2025

Public unit trusts [¶24-192]

[¶24-192]

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In general terms, public unit trusts are unit trusts that meet certain criteria and include retail unit trusts (whose units are offered to the public and that have a 100 or more unit holders) and certain wholesale unit trusts (whose units are held by widely held investment vehicles such as other unit trusts or superannuation funds). For the purposes of determining the number of unit holders and other percentage interests referred to in the definition, persons associated with one another are treated as one person. To reduce the compliance costs of determining whether unit holders are associated, unit holders must disclose their associations to the trustee upon application by the trustee. The trustee is entitled to rely on the disclosure unless there are reasonable grounds for believing the disclosure is not correct.

More specifically, a public unit trust is defined in s [YA 1](#) as a unit trust that fulfils one of the following conditions:

- # the unit trust meets the following criteria:

- # before 24 February 2016, the unit trust makes regulated offers under the Financial Markets Conduct Act 2013 (FMCA), and

- # the unit trust has 100 or more unit holders (associated persons being treated as one person), and

- # the unit holders are:

- unit trust managers who hold units in the ordinary course of their activities for the unit trust
 - persons with an interest of 25% or less (associated persons being treated as one person), or
 - persons with an interest of 25% or more (associated persons being treated as one person) if a person's interest is 25% or more because of unusual or temporary circumstances such as the recent establishment or forthcoming termination of the unit trust (as defined), or

- # the unit trust has unit holders who are any one or more of the following:

- # a public unit trust (as defined)

- # a group investment fund

- # a life insurance company

- # a superannuation fund

- # a unit trust manager, a trustee, or a person nominated by the manager or the trustee, who holds units in the ordinary course of management activities for the unit trust

- # before 24 February 2016, a person with an interest of 25% or less (associated persons being treated as one person) if regulated offers are made under the FMCA

- # before 24 February 2016, a person with an interest of 25% or more (associated persons being treated as one person) if the person's interest is 25% or more because of unusual or temporary circumstances, such as the recent establishment or forthcoming termination of the unit trust (as defined), and if regulated offers are made under the FMCA

- # from 24 February 2016, a person with an interest of 5% or less in the unit trust, treating all associated persons as one person

- # from 24 February 2016, a person with an interest of 5% or more in the unit trust, treating all associated persons as one person, if their interest is 5% or more because of unusual or temporary circumstances, such as the recent establishment or forthcoming termination of the unit trust, and if the unit trust would meet the requirements of any of the other paragraphs of the definition, or

- # the unit trust has fewer than 100 unit holders if:

- # the unit trust could reasonably be regarded as a widely-held investment vehicle for direct investment by members of the public despite the lesser number of unit holders, or

- # the existence of fewer than 100 unit holders is caused by unusual or temporary circumstances, such as the recent establishment or forthcoming termination of the unit trust, being a public unit trust (as defined), or

the unit trust could reasonably be regarded as a vehicle primarily for investment by widely-held vehicles for direct investment, being either unit trusts, group investment funds, life insurance companies, superannuation funds or, from 18 March 2019, portfolio investment entities.

Transfer of expenditure

Unit trusts investing in other unit trusts or group investment funds incur expenditure on administration and management and receive their only income in the form of dividends that are usually fully imputed. Unless the unit trust has income from another source, such as interest, so that the imputation credits can be utilised, the unit trust accumulates excess credits or losses (if the unit trust converts the credits to losses) that it cannot use. Sections [DV 5](#) and [DV 6](#) allow public unit trusts to utilise those imputation credits without the need to enter into arrangements to ensure they have income streams to absorb the excess credits. Public unit trusts (defined as “member funds”) that invest in other public unit trusts or group investment funds deriving category A income (defined as “master funds”) can elect to transfer expenditure to that master fund. As noted above, a “public unit trust” includes a retail or wholesale unit trust that meets certain criteria.

All expenditure can be transferred, other than expenditure that is revenue account property and expenditure on a financial arrangement. (However, expenditure on a financial arrangement that is denominated in New Zealand dollars and for which expenditure is allocated using the yield to maturity method can be transferred.) The master fund is able to deduct the expenditure and the expenditure is treated as not having been incurred by the member fund. The master fund cannot deduct more than its taxable income for the year in which the income is transferred, less all non-resident passive income derived by the master fund in that year. (This formula does not apply to an amount of expenditure that is transferred to a master fund that is a multi-rate PIE.) Expenditure that cannot be deducted by the master fund may be carried forward by the member fund as loss balance and transferred to the master fund in a later year. If, after the date it has filed its return, the master fund is able to deduct more than the amount actually deducted, the Commissioner may allow a member fund to transfer expenditure to the extent of the difference to the master fund after the return has been filed. A master fund that is a multi-rate PIE is allowed a deduction for expenditure transferred from a member fund. However, the amount transferred must not be more than the member fund’s share of the multi-rate PIE’s taxable income.

The member fund and the master fund must agree that the expenditure be transferred to the master fund and expenditure may only be transferred to the extent that the member fund has a tax loss. For expenditure to be transferred, the member fund must have funds invested in the master fund at all times between the date on which the member fund incurs the expenditure and the last day of the tax year in which the expenditure is deducted by the master fund. In the income year in which the member fund stops investing in the master fund, neither the member fund nor the master fund can deduct the expenditure, and the member fund must treat the expenditure as a loss balance.

Any amount paid to the member fund by the master fund for the expenditure transferred is not income or a dividend for tax purposes.

The expenditure transferred gives rise to a credit in the master fund’s ICA on 31 March of the tax year in which the expenditure is deducted. Similarly, the expenditure transferred gives rise to a debit in the member fund’s ICA on 31 March of the tax year in which the expenditure is transferred. If the debit to the member fund’s ICA in these circumstances results in a debit balance, there is no requirement to pay further income tax on the debit arising on transfer of the expenditure (s [OB 65\(2\)](#)).

Shareholder continuity

In determining the shareholder continuity of a public unit trust, if a public unit trust so chooses, all unit holders are treated as a notional single person that is not a company, exists as long as the unit trust exists and holds nothing other than the shares in the unit trust. This means that the public unit trust need not keep track of the unit-holding changes.

A taxpayer who is, directly or indirectly, wholly or partially owned by a public unit trust may choose not to apply the look-through rule in s [YC 4](#) and to treat the public unit trust as applying the notional single person concession without the public trust having to separately choose to apply it.

Available subscribed capital accounts

Like group investment funds, public unit trusts were also affected by the “negative dividend” issue. To remedy this, a public unit trust that is not a multi-rate PIE ([¶29-115](#)) may establish an available subscribed capital account (ASCA). For further detail on the ASCA, see [¶24-070](#) (references to a “group investment fund” should be read as references to a “public unit trust”).

Law: IT07 ss [DV 5–DV 7](#), [IA 2\(4\)\(a\)](#), [IA 7\(4\)](#), [OB 19](#), [OB 46](#), [OB 65\(2\)](#), [YA 1](#) (“public unit trust”, “unit trust”), [YC 12](#); TAA s [32D](#)

Last reviewed on 31 December 2025

Registration requirements for charities [¶24-195]

[¶24-195]

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Income tax exemptions

Charities that meet certain requirements may benefit from income tax exemptions. There are 3 categories of exempt income that relate to amounts derived by a charity. These are:

- # income derived by trustees in trust for charitable purposes or by any society or institution established and maintained exclusively for charitable purposes provided that the charity is a tax charity (see below and [¶24-240](#))
- # income derived by a business carried on for charitable purposes, or for business income derived by or on behalf of or for the benefit of any society or institution established and maintained exclusively for charitable purposes ([¶24-200](#)), and
- # income derived by an executor or administrator from funds held in trust for charitable purposes (charitable bequests — s [CW 43](#)).

The first 2 categories of exempt income listed above require the relevant charity to be a “tax charity”. This is defined to mean:

- # a trustee, a society, or an institution registered as a charitable entity under the Charities Act 2005
- # a trustee, a society, or an institution that, before 1 July 2008, has started to take reasonable steps in the process of registration under the Charities Act, intends to complete that process and has not been advised by IR that it is not a tax charity
- # a trustee, a society, or an institution that is a non-resident and carries out its charitable purposes outside New Zealand and that the Commissioner approves as a tax charity in circumstances where registration as a charitable entity is not available, and
- # persons removed from the register, for the period from when they are first registered to the later of the day they stop complying with the rules and the day of final decision (see below).

Note that the exemption does not mean that the charity is exempt for GST purposes. If a charity breaches the \$60,000 threshold, it may still be liable to register for GST ([¶32-048](#) and [¶32-148](#)).

Eligibility for registration

To be eligible for registration, a charitable entity must satisfy the following conditions:

- # for trustees of a trust, the trust is of a kind in relation to which an amount of income is derived by the trustees in trust for charitable purposes
- # for a society or an institution, the society or institution is established and maintained exclusively for charitable purposes, and it is not carried on for the private pecuniary profit of any individual
- # the entity has a name that complies with certain conditions (see below), and
- # all of the officers of the entity are qualified to be officers of a charitable entity (see below), and
- # from 5 October 2023, at any time, at least one officer of the entity is 18 years or older.

The trustees of a trust are treated as complying with the registration requirements for income (ie charitable income is derived) if:

- # in accordance with a binding ruling made under Pt [5A](#) of the TAA, the income derived by the trust is treated as exempt income for income tax purposes, or
- # the income derived by trustees is deemed to be derived in trust for charitable purposes under s 24B of the M#ori Trust Boards Act 1955.

Similarly, a society or an institution is treated as being established and maintained exclusively for charitable purposes and not carried on for the private pecuniary profit of any individual if it is treated this way for income tax purposes in accordance with a binding ruling.

The effect of the binding ruling for registration purposes continues until the binding ruling expires or ceases to apply.

A trust is not prevented from being registered because the trust has not yet derived income for charitable purposes, if the Charities Registration Board is of the opinion that income will be derived by the trustees in trust for charitable purposes and it is fit and proper to register the trust as a charitable entity. In reaching its opinion, the Board may act on the basis of any reasonable assumptions concerning the future derivation of income for charitable purposes. An example is given in s 14 of the Charities Act.

Name requirements

The name of the entity must satisfy one of the criteria set out below:

- # the entity is incorporated under that name under one of the following Acts:
 - # the Incorporated Societies Act 1908
 - # the Charitable Trusts Act 1957, or
 - # the Companies Act 1993
- # the entity is established or constituted by an Act under that name, or
- # if the Board decided that the name is not offensive or liable to mislead the public.

Registration

An application for registration as a charitable entity must satisfy the following conditions:

- # it is in the prescribed form
- # it is accompanied by:
 - # a document in the prescribed form, signed by, or on behalf of, every officer of the entity, that contains a certification that the officer is not disqualified from being an officer of a charitable entity (see above under the sub-heading "Officers of charitable entities")
 - # a copy of the rules of the entity, and
 - # the prescribed fee for the application, and
- # it contains, or is accompanied by, any other prescribed information or documentation.

The Board is required to consider the application for registration and may request further information or documentation be provided within 20 working days of the request. The Board must give the applicant notice of any matter that might lead to the Board declining the application and the applicant has 2 months, or longer period the Board agrees to on request by the applicant, to make submissions on the matter. An application will be treated as withdrawn if the applicant does not adequately respond to a request for information or to make submissions within the relevant period. If the Board is satisfied that the entity is qualified to be registered as a charitable entity, the Board must register the entity as a charitable entity, allocate a registration number and notify the entity of its registration and number. Note, from 5 October 2023, if the Board declines an application, it must as soon as practicable publish its decision and the reasons on a publicly accessible website (maintained by or on behalf of the Board).

Registration may be backdated

Registration as a charitable entity may be backdated if the Board is satisfied that the entity was qualified for registration as a charitable entity at all times during the period between the effective registration time and the time that the entity actually became registered as a charitable entity. The effective date of registration cannot be earlier than:

- # in the case of a charitable trust, or charitable society or institution created or established by a gift made after 1 February 2007 and that was exempt from gift duty, the time that the gift was made, and

in any other case, the time the Board received a properly completed application for registration as a charitable entity.

The backdating of registration applies for the purposes of the Charities Act, the IT07 and the Estate and Gift Duties Act 1968.

Operational statement

[OS 22/04](#), “Charities and donee organisations: Part 1: Charities”, and [OS 22/04](#), “Charities and donee organisations: Part 2: Donee organisations” ([¶11-055](#)) set out the Commissioner’s view of the law in respect of charities and donee organisations, apply from 10 October 2022 and replace [OS 06/02](#). The statements also discuss the practicalities of administration by both IR and Charities Services, the tax treatment and the obligations of entities within the not-for-profit sector. A fact sheet accompanies each part. The discussion below highlights key points of the operational statement.

[OS 22/04](#) provides guidance to charities and donee organisations on their tax obligations and the tax exemptions available to them, including:

- # the distinction between registered charities, donee organisations, charitable organisations and other not-for-profit organisations
- # charitable registration requirements and obligations
- # qualifying for income tax exemptions
- # how other tax rules such as GST, FBT, etc apply to charities
- # non-resident charities, and
- # specific tax treatment relating to Māori charities.

The statement also addresses other tax matters relevant to charities, such as recordkeeping and the implications of being deregistered from the Charities Register.

The following diagram illustrates the overlap between the different types of not-for-profit organisations:

Figure 1: Relationship between overlapping definitions in the ITA and Charities Act



As can be seen above, not all charitable organisations are registered charities. This distinction is important and the reason why the operational statement has been issued in 2 parts.

To be a registered charitable entity, a society, institution or trustees of a trust must be registered with Charity Services and meet the requirements of s 13 of the Charities Act 2005.

Definition of charitable purpose

Generally, for the purpose of the Charities Act, s 5 defines the term “charitable purpose” as including:

- # every charitable purpose, whether it relates to the relief of poverty, the advancement of education or religion, or any other matter beneficial to the community
- # the purpose of a trust, a society or an institution if the purpose would satisfy the public benefit requirement, apart from the fact that the beneficiaries of the trust, or the members of the society or institution, are related by blood
- # a marae, if the physical structure of the marae is situated on land that is a Māori reservation referred to in the Māori Land Act 1993 (Te Ture Whenua Māori Act 1993), and the funds of the marae are used only for the administration and maintenance of the land and of the physical structure of the marae or any other charitable purpose, and
- # the promotion of amateur sport if it is the means by which a charitable purpose referred to in the first bullet point above is pursued (this last category applies from 25 February 2012).

Furthermore, if the purposes of a trust, a society or an institution include a non-charitable purpose (eg advocacy) that is merely ancillary to a charitable purpose of the trust, society or institution, that non-charitable purpose does not prevent registration as a charitable entity. A non-charitable purpose is ancillary to a charitable purpose of a trust, society, or institution if the non-charitable purpose is:

- # ancillary, secondary, subordinate, or incidental to a charitable purpose of the trust, society or institution, and
- # not an independent purpose of the trust, society or institution.

Example:

In the first appeal under the Charities Act, the High Court in *Travis Trust v Charities Commission* (2009) 24 NZTC 23,273 held that, on the basis of first principle and on consideration of the authorities, the promotion of a horse race is not a charitable purpose in and of itself. The High Court noted that the Charities Commission (now known as the “Board”) registered mixed trusts on the condition that any private objects of a charitable entity would not be given any effect by the trustees or governance body of the entity. The single issue before the Court, in this case, was, therefore, whether the provision of prize money for an annual and significant race on the New Zealand horse-racing calendar was a charitable purpose. The Court analysed the definition as contained in the Charities Act.

Charitable purpose and the common law

The focus of the case was on the fourth general benefit head. The Court proceeded on the basis that the purpose of the trust was either the support of the Travis Stakes or of the Cambridge Jockey Club’s annual programme of race meetings.

Sports and leisure cases

After reviewing the sports and leisure cases, the High Court found that the weight of authorities ran powerfully against a finding that a gift towards the prize in the Travis Stakes was charitable. The High Court did note, however, that recent New Zealand cases tended to support the idea that the concept of charitable purpose was evolving in response to changing social and cultural circumstances. In the area of sport and leisure, the general principle appeared to be that sport, leisure and entertainment for their own sake were not charitable, but, where these purposes were expressed to be and were, in fact, the means by which other valid charitable purposes, such as health or education, would be achieved, they will be held to be charitable.

As noted above, the promotion of amateur sports can qualify as a charitable purpose if it is the means by which a charitable purpose is pursued. This applies from 25 February 2012.

Public benefit

The High Court noted that, once it was established that the purpose of a trust was charitable in character, it must also be established that the benefits of the trust will accrue to the public. The Court considered that the widest valid category of beneficiaries of the trust in this case would be the members of the Cambridge Jockey Club. After drawing all the principles together, the High Court found that the purpose of the trust was to fund a race for the benefit of the Cambridge Jockey Club’s race programme. As it was a private club, the High Court held that the Cambridge Jockey Club was not the community, or a sufficient enough section of it, to amount to

“the public”. Even if the Cambridge Jockey Club did, in fact, constitute the community or an appreciable section of it, the promotion of horse racing generally was not a charitable purpose in and of itself. The Court said that “a trust to promote racing could only be charitable in nature if its deeper purpose was the pursuit of some other objective, either in principle or, in accordance with charities jurisprudence, a charitable purpose in its own right within the spirit and intendment of the Statute of Elizabeth. Thus, if it could have been established that the true intention of the support for this race was the promotion of health, education or perhaps even animal welfare, it might have satisfied the test”. The High Court upheld the decision of the Commission and dismissed the appeal.

See also, *Canterbury Development Corp v Charities Commission*; *Canterbury Development Corp Trust v Charities Commission*; *CEDF Trustee Ltd as Trustee of the Canterbury Economic Development Fund v Charities Commission* (2010) 24 NZTC 24,143, *Liberty Trust v Charities Commission* (2011) 25 NZTC ¶20-054, *Re Queenstown Lakes Community Housing Trust* (2011) 25 NZTC ¶20-059, *Re Greenpeace of New Zealand Inc* (2014) 26 NZTC ¶21-088 (SC) and *Re Family First New Zealand* (2015) 27 NZTC ¶22-017.

Effect of deregistration

An entity may be removed from the Charities Register at its request or at the direction of the Board. The grounds for removal include:

- # the entity is not or is no longer qualified for registration as a charitable entity
- # the entity has engaged in serious wrongdoing
- # any person has engaged in serious wrongdoing in connection with the entity.

Legislative changes clarified the tax implications that arise when a charity is removed from the Charities Register and not eligible to derive exempt income under s [CW 41](#) or [CW 42](#). In particular, the rules clarify how existing legislation (including the FBT and donations tax credit regimes) applies to deregistered charities.

Retention of tax exempt status until day of final decision

Amendments to s [CW 41](#) ensure that charities that are removed from the charities register continue to be tax-exempt until the “day of final decision”, providing they have acted in accordance with their rules contained in the charities register. The “day of final decision” is the later of:

- # the day the charity is removed from the charities register
- # the day on which the charity exhausts all disputes and appeals regarding its charitable status.

Thus, provided a deregistered charity has acted in accordance with its rules, there are no retrospective tax consequences. They become tax-paying from the day of final decision. However, where a charity does not comply with its rules, it loses its tax-exempt status from that earlier date.

Retention of FBT exemption

The effect of the above amendment is largely mirrored in the amendment for FBT purposes. The definition of “charitable organisation” is amended to provide that a deregistered charity can still be a charitable organisation and eligible for the FBT exemption for a specified period (provided it otherwise satisfies the definition). The period in question starts from the date the charity is registered on the charities register and ends with the earlier of:

- # the last day of the relevant quarter or income year in which the charity does not comply with their rules, or
- # the last day of the relevant quarter or income year in which the day of final decision falls.

Thus, only those charities that have not complied with their rules are subject to the earlier loss of their FBT exemption.

Opening values for assets and consideration for financial arrangements

Section [HR 11](#) dictates what the initial opening values for assets and consideration for financial arrangements are when a charity becomes a tax-paying entity. The section applies on and after the day the

charity is deregistered and no longer able to derive exempt income under ss [CW 41](#) and [CW 42](#), defined as the “date of cessation”. The cost of premises, plant, equipment and trading stock of a deregistered charity will be the value that would be used at the date of cessation if s [CW 41](#) or [CW 42](#) had never applied. A similar approach applies to determining the consideration for any financial arrangement, which will be determined by applying the following formula:

$$\text{consideration paid to person} + \text{expenditure} \div \text{consideration paid by person} \div \text{income}$$

where:

consideration paid to person is the consideration that is paid to the charity before the date of cessation

expenditure is the expenditure that would have been incurred under the financial arrangements rules before the date of cessation

consideration paid by person is the consideration that is paid by the charity before the date of cessation

income is the income that would have been derived under the financial arrangements rules before the date of cessation.

The charity will also be treated as having the unexpired portion of expenditure under s [EA 3](#) (Prepayments) and the unpaid amount under s [EA 4](#) (Deferred payment of employment income) that it would have had if s [CW 41](#) or [CW 42](#) never applied. A deduction will be available for the unexpired portion under ss [DB 50](#) and [DB 51](#) in the income year that contains the date of cessation.

Some charities may not have sufficient records on the actual historical cost of their assets and financial arrangements because they were not required to keep them or they are a small charity with low administrative capacity. In these circumstances, s [HR 11\(6\)](#) provides that charities may use information from their annual returns contained on the register of charities.

These rules apply from 14 April 2014.

Tax on accumulated assets of deregistered charity

In addition, ss [CV 17](#) and [HR 12](#) introduce a tax on the accumulated assets of a deregistered charity. Under s [HR 12](#), a deregistered charity will have an amount of income equal to the value of the net assets (being assets less liabilities) held on the day of final decision. The income will be derived on the day 12 months after the day of final decision. However, excluded from the amount of income will be:

from 1 April 2024, assets distributed or applied for charitable purposes to a tax charity (except for non-resident organisations that are tax charities under s [CW 41\(5\)\(c\)](#)), or a New Zealand resident persons that derives exempt income under any of s [CW 38–CW 52](#), [CW 55BA](#) or [CW 64](#)

before 1 April 2024, assets distributed or applied in that 12 months for charitable purposes or in accordance with the charity's rules

assets received from the Crown to settle a Treaty of Waitangi claim and/or in accordance with the Māori Fisheries Act 2004

assets, other than money, gifted or left to the charity when it met the requirements to derive exempt income under s [CW 41](#) or [CW 42](#)

the value of land and improvements on the land for marae built on reservation land established under the Te Ture Whenua Māori Act 1993, and

from 1 April 2019, the value of a parent company's shares in a subsidiary if a parent entity and one or more members of a charitable group deregister at the same time.

The provision will not apply if the charity is re-registered on the charities register within 12 months of the day of final decision. In addition, with effect from 1 April 2019, if a charity sells an interest in a subsidiary at arm's length for market value, s [HR 12](#) does not apply to that subsidiary if it is deregistered as a result of the sale. A de minimis threshold of \$10,000 in net assets has also been introduced to exclude small-scale charities from the deregistration tax rules with effect from 1 April 2019.

Section [CV 17](#) provides that an amount of income under s [HR 12](#) is income of the deregistered charity for the income year that contains the day 12 months after the day of final decision.

Section [CV 17](#) applies from 14 April 2014. Section [HR 12](#) applies from 1 April 2015 with 2 exceptions. The first exception is where the charity voluntarily deregisters before 1 April 2015, in which case the provision applies from 14 April 2014. The second exception relates to community housing providers that have not voluntarily deregistered before 1 April 2015. In that case the provision applies from 1 April 2017.

[IR255](#) "Charitable and donee organisations" (April 2024) at 35 provides further guidance concerning the consequences of deregistration.

Law: CHA ss [2](#), [3](#), [5](#), [6](#), [8–10](#), [13–20](#), [41](#); IT07 ss [CW 41\(5\)](#), [HR 11](#), [HR 12](#)

Last reviewed on 31 December 2025

Charitable business exemption [¶24-200]

[¶24-200]

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Income derived by a business carried on for charitable purposes, or for business income derived by or on behalf of or for the benefit of any trust, society or institution, is exempt if:

- # the income is derived by a trustee in trust for charitable purposes, or derived by a society or institution established and maintained exclusively for charitable purposes and not carried on for the private pecuniary profit of any individual
- # the trust, society or institution carries out its charitable purposes in New Zealand
- # the trustee, society or institution is a tax charity, and
- # no person with some control over the business is able to direct or divert income to the benefit or advantage of:
- # if the charity is carrying on the business for another entity (the controlling entity), a person other than the charity or the controlling entity except for a purpose of the charity or controlling entity, or
- # in any other case, a person other than the charity except for a purpose of the charity.

With effect from 1 April 2020 for the 2020–21 and later income years, the entity carrying on the business must also be registered as a charitable entity under the Charities Act 2005 at the time the income is derived.

To attract the exemption, the business must be carried on for charitable purposes. “Charitable purpose” is defined to include “the relief of poverty, the advancement of education or religion, or any other matter beneficial to the community”. The exemption is not available if a person associated with the charity is able to receive some financial benefit from it. This exception precludes application of the exemption in situations in which a taxpayer carries on a business through the medium of a charitable trust or company in circumstances in which it is likely that they would have carried on that business in their own personal capacity ([¶24-210](#)).

Example:

The business must be carried on for charitable purposes, rather than just the derivation of the income, which must be held for those purposes. For the exemption to apply, the income earned need not be applied immediately for the charitable purposes; it may be held in reserve in the course of carrying on the business. See *Calder Construction Co Ltd v C of IR* [1963] NZLR 921.

Example:

When a business is not carried on in trust for charitable purposes, a subsequent disposition of income to a charity does not make it “charitable”. See *MK Hunt Foundation Ltd v C of IR* [1961] NZLR 405.

Also see *Trustees of the Auckland Medical Aid Trust v C of IR* ([1979](#)) 4 NZTC 61,404, *Cowey Mills & Co Ltd v C of IR* ([1982](#)) 5 NZTC 61,172 and *C of IR v NTN Bearing-Saeco (New Zealand) Ltd* ([1986](#)) 8 NZTC 5,039 regarding charitable companies.

Charitable trusts are attractive to businesses, the main benefit being the exemption from income tax. Any organisation intending to set up a non-profit body would most probably seek to establish a charity as its first option. For example, a large company seeking brand image may choose a charity in which the charity, through the use of the company logo or name, indirectly promotes the institution setting it up. A charity can be set up by a trust deed, an incorporated society or a charitable company that would be limited by shares or by guarantee. For tax purposes, any institution or society may qualify ([¶24-195](#)).

[IS 24/08 FS 1](#), “Income tax – Charities – Business income exemption”, at [3] and [5] provides illustrations of determining whether a registered charity’s business income is exempt, and types of income.

Charity overseas

Business income, in terms of the exemption, is exempt only to the extent that it is derived for charitable purposes within New Zealand. The income of a business having charitable purposes both here and overseas is, accordingly, apportioned by the Commissioner. The exemption is granted only in respect of that part applicable to charitable purposes within New Zealand. See *C of IR v Dick* (2001) 20 NZTC 17,396.

Under the Charities Act 2005 an entity is not prevented from being registered as a charitable entity just because it has charitable purposes outside New Zealand. Registration requirements under the Charities Act are discussed at ¶124-195.

In cases where registration under the Charities Act is not available, a trustee of a trust, society or an organisation that is non-resident and carrying out its charitable purpose outside New Zealand, may still be capable of approval as a “tax charity” by the Commissioner (s CW 41(5)(c)).

Questions we’ve been asked and interpretation statement

In December 2020, the Commissioner released 2 draft questions we’ve been asked concerning the charities business exemptions.

The first, PUB00359a, “Charities business exemption – when it must be used”, considers the situations in which a charitable entity needs to use the business income exemption test in s CW 42 (which contains additional territorial and control restrictions) rather than the exemption test in s CW 41. The draft item concludes that a charitable entity must use the test in s CW 42 to determine if income derived from a business is exempt if:

- # the charitable entity is carrying on the business, or
- # another charitable entity (the operating entity) is carrying on the business for, or for the benefit of, the charitable entity (the controlling entity).

A business will be carried on by an operating entity for, or for the benefit of, a controlling entity if all the rights to the income and capital of the business held by the operating entity are held for the benefit of the controlling entity.

The second draft item was finalised in May 2021. QB 21/03, “Charities business exemption – business carried on in partnership”, considers whether income derived by a charitable entity from a business will be exempt under s CW 42 if the business is carried on by a charitable entity in partnership with a non-charitable entity. The item concludes that income can be exempt in these circumstances.

Interpretation statement, IS 24/08, “Charities – Business income exemption”, discusses the Commissioner’s interpretation of s CW 42 when applying the provision to business income derived where the business is carried out exclusively for charity. This interpretation statement covers charities with charitable purposes both in and outside of New Zealand.

There is uncertainty around the application of the provision due to differing interpretations of s CW 42. This interpretation statement covers the interpretative and practical issues which a charity may face when applying the exemption. For a tax charity’s business income to be treated as exempt from tax, all the requirements and restrictions must apply. The restrictions are:

- # If income is derived domestically and from overseas, the amounts must be apportioned and only to the extent that the income is domestically derived, will the exemption apply. This test must be applied each year and the percentage of income from different sources may change.
- # If a person has control and is able to divert income from the business, and that control restriction is breached, then all the business income the charity derives will be taxable income. The control restriction is discussed at ¶124-210.

Law: IT07 ss CW 41, CW 42, CW 42B, YA 1 (“charitable purpose”)

Last reviewed on 31 December 2025

Control over charity's business [¶24-210]

[¶24-210]

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There is a considerable practical limitation on the exemption for business charities. The exemption is not available if a person with some control over the charity's business is able to direct or divert an amount to the benefit or advantage of:

- # if the charity is carrying on the business for another entity (the controlling entity), a person other than the charity or the controlling entity except for a purpose of the charity or controlling entity, or
- # in any other case, a person other than the charity except for a purpose of the charity.

If the charity fails to satisfy the limitation, the whole of the charity's business income is returned as assessable income. No regard is had to the quantum of the benefit, so that the exemption is lost no matter how large or small the benefit.

Person treated as having some control

A person is treated as having some control over the business if:

- # they can determine or materially influence the determination of the nature or the amount of the benefit or advantage or the circumstances in which it is received, gained, achieved or derived, and
- # their ability to determine or influence the benefit arises because they are:
 - # the settlor or trustee of the trust that carries on the business
 - # a shareholder or director of the company carrying on the business
 - # a settlor or trustee of a trust that is a shareholder of the company carrying on the business
 - # a person associated with any settlor, trustee, shareholder or director as mentioned above.

Note that, previously, s [CW 42](#) excluded businesses carried on by a company for charitable purposes and owned by a charitable trust from the income tax exemption. This was because the former test referred to a person with some control over the charity's business being able to direct or divert an amount to *their own benefit or advantage*, and the charitable trust was deemed to have control over the business and to be able to direct or divert amounts from the business for its own benefit or advantage. Practically, this meant that a charity was not able to derive tax-exempt charitable business income in a subsidiary company, but that same income would be tax-exempt if derived directly by the shareholder charitable trust. This was an unintended consequence and the section was amended retrospectively from 1 July 2008. A similar amendment was made for wholly-owned subsidiaries of tertiary education institutions ([¶24-275](#)) and community housing entities ([¶24-132](#)).

Definition of “settlor” and “business” for these purposes

For the purposes of this test, the settlor of a trust is not confined to the person who simply settles property on a trust. A settlor is deemed to include a person who disposes of an asset to the trust in circumstances in which there is a reservation of an interest in the asset or the asset will revert back (s [CW 42\(6\)](#)). The concept of a business is also given an extended meaning that applies if the trustee derives rental income from an asset that will revert back, or if there is a reservation of an interest in the asset to the person who disposed of it to the trust. In such a situation, the holding of the asset for the derivation of rental income is deemed to constitute the carrying on of a business by the trustee. In the absence of any such specific provision, it would have been arguable that the mere holding of rental property does not amount to the carrying on of a business. When there is a person whose association comes within any of the above categories, the business will fail to attract the exemption for business income of a charity. There must, however, be a nexus between the person concerned and the benefit received. This nexus is to the effect that by reason of the relationship to the trust or business, the person is able to materially influence the nature or amount of the benefit or income or the circumstances in which it is to be received.

Example:

If the settlor or a trustee is able to receive a benefit from the trust or can materially influence the nature or amount of any such benefits, there will be no exemption under s [61\(27\)](#) of the Income Tax Act 1976 [now s [CW 42](#)]. Whether or not these parties actually benefit is not relevant. See *C of IR v Dick* ([2001](#)) 20 NZTC 17,396.

Persons treated as having no control

A person who provides professional services to a charity is not treated as having some control over the charity's business if the ability to determine or influence the benefit arises only because they provide professional services as part of carrying on a professional public practice. This also applies to a statutory trustee company, the Public Trust and the Māori Trustee providing professional services.

Benefit or advantage

A benefit or advantage may include an amount regardless of whether it is convertible into money. It also includes retaining or reserving an interest in an asset that has been disposed of to a charitable trust.

No benefit or advantage arises when the benefit is in the form of interest on a loan made at current commercial rates, bearing in mind the nature and term of the loan. For this purpose, the Commissioner uses the current commercial rates published by the Reserve Bank as a yardstick.

Law: IT07 s [CW 42](#)

Last reviewed on 31 December 2025

Non-business income of charities exemption [¶24-240]

[¶24-240]

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Operational statement, [OS 22/04](#), “Charities and donee organisations”, discusses s [CW 41](#) at 10.

Income derived by the following persons is exempt under s [CW 41\(1\)](#):

- # the trustees of a trust for charitable purposes, and
- # a society or institution established and maintained exclusively for charitable purposes and not carried on for the private pecuniary profit of any individual.

In addition, the trust, society or institution must be a tax charity ([¶24-195](#)).

Where a charity is deregistered, a provision ensures that income derived by the charity during the period of its registration is still exempt income ([¶24-195](#)).

Charitable purposes

Charitable purposes are defined to include 4 categories — for the relief of poverty, for the advancement of education, for the advancement of religion and for other purposes beneficial to the community not falling within any of the above categories (s [YA 1](#) and [¶24-250](#)). However, as demonstrated by the example below, this list is not exhaustive, and it may well be that another purpose will be acceptable as falling into the general law concept of what constitutes a charity. When a trust has more than one purpose, one of which is non-charitable, charitable status is denied if the non-charitable purpose is not subordinate to the charitable one. However, it is not necessary to show that an organisation is run exclusively for charitable purposes. A charitable trust enters the tax base when it loses its charitable status.

Example:

Of the association of a non-charitable purpose with that of a charitable one, it is well settled that so long as the non-charitable purpose is not an independent purpose but ancillary, subordinate or incidental to a charitable purpose, its presence does not have a vitiating effect. See *C of IR v New Zealand Council of Law Reporting* ([1981](#) 5 NZTC 61,053 (CA)). These remarks were later interpreted in a slightly narrower vein to mean that all independent purposes, as well as the fundamental purpose, must be of a charitable nature for the exemption to apply. See *Cowey Mills & Co Ltd v C of IR* ([1982](#) 5 NZTC 61,172); *C of IR v NTN Bearing-Saeco (New Zealand) Ltd* ([1986](#) 8 NZTC 5,039).

The Court of Appeal decision in *Latimer v C of IR* had given rise to an issue of interpretation of s [CB 4\(1\)\(c\)](#) of the 1994 Act. The wording in issue was:

Any amount derived by trustees in trust for charitable purposes or derived by any society or institution established and maintained exclusively for charitable purposes ...

There was some debate as to whether the words “established and maintained exclusively for charitable purposes” applied to both “societies or institutions” and trusts, or just to “societies or institutions”. The Court of Appeal decision in *Latimer* held that it was the latter. Therefore, trusts do not need to be established and maintained for charitable purposes for the tax exemption to apply. It is sufficient that the income is derived by trustees in trust for charitable purposes. This point was upheld on appeal to the Privy Council: *Latimer (Trustees for the Crown Forestry Rental Trust) v C of IR* ([2004](#) 21 NZTC 18,478 (PC)). This conclusion is retained in the equivalent provision in the 2007 Act, s [CW 41\(1\)](#), because the income exemption for trusts is in a separate paragraph from the income exemption for societies or institutions.

Law: IT07 ss [CW 41](#), [HC 13](#), [YA 1](#) (“charitable purpose”)

Last reviewed on 31 December 2025

Public benefit rule [¶24-250]

[¶24-250]

[Click to open document in a browser](#)

Even when the purposes of a trust or organisation fall within any of the heads of charity (ie the advancement of education or religion, or any other matter beneficial to the community), the trust or organisation is not charitable unless it exists for the benefit of the community or an appreciably important section of the community. It cannot exist for the benefit of particular individuals. This is the rule as to public benefit, and it applies in New Zealand.

Example:

The Society for the Protection of the Unborn Child was refused recognition as a charitable organisation. An organisation with political purposes is not regarded as charitable because the public benefit rule is not complied with. Political purposes arise not only when the organisation is lobbying for a change in the law, but also when it advocates the maintenance of the existing law. The Court also stated that it was now beyond dispute that the element of public benefit is a necessary prerequisite for valid charitable purposes; at least under the second, third and fourth heads of charity. See *Molloy v C of IR* (1981) 5 NZTC 61,070 (CA). Compare this with *Trustees of the Auckland Medical Aid Trust v C of IR* (1979) 4 NZTC 61,404 (SC). Also consider the Supreme Court decision in *Re Greenpeace of New Zealand Incorporated* (2014) 26 NZTC ¶21-088 where the court held that a blanket political purposes exclusion should no longer apply in New Zealand. The Supreme Court in that case concluded that the public benefit rule existed in addition to the requirement for a charitable purpose and rejected the suggestion that benefit to the public presumptively establishes the purpose as charitable.

See also *Liberty Trust v Charities Commission* (2011) 25 NZTC ¶20-054 at ¶24-195, *Educational Fees Protection Society Incorporation v C of IR* (1991) 13 NZTC 8,203, *Presbyterian Church of New Zealand Beneficiary Fund v C of IR* (1994) 16 NZTC 11,185, *Hester v C of IR* (2004) 21 NZTC 18,421 (HC); (2005) 22 NZTC 19,007 (CA), *C of IR v Medical Council of New Zealand* (1995) 17 NZTC 12,409 (HC); (1997) 18 NZTC 13,088 (CA) and *Re Education New Zealand Trust* (2010) 24 NZTC 24,354.

Fidelity funds maintained to meet claims by clients of lawyers and accountants in cases of theft are not trusts for a charitable purpose. The funds do not have the necessary public character to be charitable, as the potential claimants are restricted to those clients who have entrusted money to a professional person (*New Zealand Society of Accountants v C of IR*; *New Zealand Law Society v C of IR* (1986) 8 NZTC 5,205 (CA)).

Blood relationship

The meaning of “charitable purpose” includes an entity that can satisfy the public benefit requirement apart from the fact that its members are related by blood. This extended definition is also adopted in the Charities Act 2005 (¶24-195 and *Latimer v C of IR* (2002) 20 NZTC 17,737 (CA) at 17,745–17,749).

Marae

A marae has a charitable purpose if both of the following conditions are satisfied:

- # the physical structure of the marae is situated on land that is a M#ori reservation referred to in Te Ture Whenua M#ori Act 1993 (M#ori Land Act 1993), and
- # the funds of the marae are used only for the administration and maintenance of the land and of the physical structure of the marae or some other charitable purpose.

If a marae satisfies the above criteria, the entity administering it may qualify for an income tax exemption if it registers under the Charities Act. Donations made to the marae would also qualify for the charitable donations tax credit (for individuals, see ¶11-055) or deductions (for companies, see ¶10-492).

A marae that is not situated on M#ori reservation land may still qualify for an exemption from income tax under the general charitable purposes definition.

Law: IT07 s [YA 1](#) (“charitable purpose”)

Last reviewed on 31 December 2025

Records of charity [¶24-270]

[¶24-270]

[Click to open document in a browser](#)

A charitable organisation that is fully exempt from income tax is not required to file an income tax return under s [33\(1\)](#) of the TAA but may still choose to file one. This position made clear through an amendment to s [33\(1\)](#), effective 30 March 2025, before which interpretation of s [33\(1\)](#) read as requiring charitable organisations to file a return of income.

However, sufficient accurate records must be kept in New Zealand as enable the Commissioner to ascertain the source of donations made to the organisation and the application of its funds, whether in New Zealand or overseas. From 30 March 2025, records must be kept in English or te reo Māori, or any other language with the approval of the Commissioner, for at least 7 years after the income year to which they relate.

In addition, the Commissioner may request the organisation provide a return of funds derived and/or received during the tax year, the return showing the source and application of those funds. The Commissioner may advise the Minister of Finance when they believe that funds are not being applied in accordance with the charitable objects of the particular organisation.

Gift-exempt bodies are also bound by the above.

A charitable organisation that is a member of a Māori authority may file a tax return to claim a refund of Māori authority credits attached to a distribution received from the Māori authority (s [33\(1B\)](#) of the TAA and [¶24-317](#)).

The registration, reporting and monitoring of charities contained in the Charities Act 2005 is summarised at [¶24-195](#).

Law: TAA ss [18K](#), [32](#), [33\(1B\)](#), [58](#)

Last reviewed on 31 December 2025

Tertiary education institutions — exempt income [¶24-275]

[¶24-275]

[Click to open document in a browser](#)

Income derived by tertiary education institutions is exempt under s [CW 55BA](#) if the institution is not carried on for the private pecuniary profit of an individual. The institutions concerned are those arising under subpart 3 or 4 of Pt 4 or 4A of the Education and Training Act 2020 (universities, polytechnics, specialist colleges and wananga). These institutions do not need to register with the Charities Registration Board to retain tax-exempt status.

The exempt status also extends to tertiary education subsidiaries. A tertiary education subsidiary is a company, wholly owned by one or more tertiary education institutions, where no person (other than a tertiary education institution) with some control over the company is able to direct or divert an amount derived from the company to their own benefit or advantage. For a discussion of when a person is treated as having some control and when a person is treated as having no control, see [¶24-210](#).

Law: IT07 s [CW 55BA](#)

Last reviewed on 31 December 2025

Tax implications of M#ori Land Act [¶24-280]

[¶24-280]

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The M#ori Land Act 1993 (Te Ture Whenua M#ori Act 1993) came into force on 1 July 1993. The Act's main purpose is to assist in retaining M#ori land (comprising M#ori customary land and M#ori freehold land) in M#ori ownership. IR sets out the tax implications of the Act in *Tax Information Bulletin* [¶57-103 Vol 5, No 7](#), December 1993 at 4.

Last reviewed on 31 December 2025

Trusts established under M#ori Land Act [¶24-283]

[¶24-283]

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Five types of land-holding trusts are established under the Te Ture Whenua M#ori Act 1993. These trusts are generally designed to limit the further fragmentation of M#ori land titles by limiting rights of succession in certain cases.

Charitable status

Under s 245 of the Te Ture Whenua M#ori Act, the trustees of any trust established under the Act may apply to the court for an order that they hold any part of the trust's income on trust for such charitable purposes as are specified in the court order. However, s 245 does not deem any income derived by an approved trust to be held for charitable purposes for the purposes of the revenue Acts, regardless of whether the trust's purposes are, in fact, charitable at general law. A trust must meet the following requirements to gain charitable status for IR's purposes:

- # it must have a charitable purpose
- # it must not be carried on for the private pecuniary profit of any individual
- # if it is wound up, it must have provision in its rules for its assets to be given to another charity with terms at least as strict as the donor charity
- # it must have no power to amend its rules to detract from the above charitable requirements, and
- # it must be registered with the Charities Registration Board.

Charitable income of M#ori Trust Boards exempted

Public binding ruling [BR Pub 08/02](#) indicates that income derived by a M#ori Trust Board from assets declared to be held on a charitable trust can be tax-exempt even when the twin legal requirements of public benefit and charitable purpose are not satisfied. The ruling applies only when all the purposes of the trust include purposes specified in s 24 or 24A of the M#ori Trust Boards Act 1955, all other elements necessary for a charitable trust are present, and the declaration of trust (under s 24B of that Act) has been submitted to and approved by the Commissioner.

No declaration of trust shall have any force or effect unless it has been approved by the Commissioner as required under s 24B(3) of the M#ori Trust Boards Act. Section [13\(2\)\(b\)](#) of the Charities Act 2005 will treat such trusts as complying with the s [13\(1\)\(a\)](#) requirement of that Act, which requires that an entity qualifies for registration as a charitable trust if the trustees derive income in trust for charitable purposes. Provided the trust can satisfy other registration criteria, it will be registered with the Charities Registration Board.

The Commissioner's interpretation effectively recognises Parliament's intention to give trusts established by M#ori Trust Boards charitable status in particular circumstances.

The ruling applies to income derived by a M#ori Trust Board for an indefinite period beginning on the first day of the 2008–09 income year.

Law: CHA s [13\(2\)\(b\)](#); ML s 245

Last reviewed on 31 December 2025

M#ori incorporations and trusts [¶24-285]

[¶24-285]

[Click to open document in a browser](#)

M#ori trusts and M#ori incorporations that are M#ori authorities (generally, all M#ori trusts and M#ori incorporations established or operating under the Te Ture Whenua M#ori Act 1993) are taxed according to the terms of subpart [HF](#) of the IT07 ([¶24-288–¶24-335](#)).

Charitable status

M#ori incorporations are established by order of the M#ori Land Court. Under s 258 of the Te Ture Whenua M#ori Act, a M#ori incorporation may, by special resolution, declare that it shall possess any part of its property, or the income derived from part of its property, on trust for charitable purposes. However, the fact that a M#ori incorporation has declared a charitable trust under s 258 does not deem the trust to have a charitable purpose for the purposes of the revenue Acts. IR will apply its usual criteria when determining whether a trust established under s 258 should have a charitable status for tax purposes.

Law: ML s 258

Last reviewed on 31 December 2025

Liability of M#ori Trustee acting as a receiver [¶24-287]

[¶24-287]

[Click to open document in a browser](#)

The court may appoint a M#ori Trustee as a receiver under s 83 of the Te Ture Whenua M#ori Act 1993 to collect rents from M#ori land. As a receiver, they are an officer of the court and are neither a trustee nor an agent. Income received is taxable as income of the persons who would have received it if a receiver had not been appointed. The M#ori Trustee has no liability for tax on the income collected as receiver. A receiver under a debenture is in a different category, as they are trustee/agent for either the company concerned or the debenture holder.

Law: ML s 83

Last reviewed on 31 December 2025

Overview of M#ori authorities [¶24-288]

[¶24-288]

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A specific regime applies for the taxation of M#ori authorities and individuals who derive benefits from those organisations. All eligible persons who elect to be M#ori authorities are taxed under the regime. The regime includes a credit attribution system similar to the company imputation regime. The main provisions of the regime are contained in subparts [HF](#) and [OK](#) of the IT07.

The key features of the regime are:

- # a M#ori authority is taxed on its income at the rate of 17.5%
- # tax paid by the M#ori authority gives rise to M#ori authority credits that are credited to a “M#ori authority credit account”
- # M#ori authority credits may be attached to distributions of tax-paid income made to members to reflect the tax paid by the M#ori authority
- # the amount of the distribution and the value of the M#ori authority credits are included in a member’s income
- # M#ori authority credits may be attached to contributions made to approved retirement savings schemes for members, to satisfy the contributor’s retirement scheme contribution tax liability ([¶29-300](#) onwards)
- # a member can use M#ori authority tax credits to offset their tax liabilities, and
- # M#ori authority credits that cannot be offset against a member’s tax liabilities are refundable to the member.

Tax provisions outside of the M#ori authority rules apply to M#ori authorities, subject to the M#ori authority rules.

See IR booklet, “Becoming a M#ori authority”, [IR487](#) (November 2023).

Law: IT07 subparts [HF](#), [OK](#)

Last reviewed on 31 December 2025

Eligibility to be M#ori authority [¶24-295]

[¶24-295]

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Only persons listed in s [HF 2](#) of the IT07 may elect to become a M#ori authority. Eligibility is limited to entities that manage M#ori assets in community ownership and are subject to significant constraints and restrictions on their activities; eg restrictions imposed under the Te Ture Whenua M#ori Act 1993 on the ability to alienate or trade land interests. The list of eligible persons includes:

- # a company or a trust that is established by an order made under Te Ture Whenua M#ori Act
- # a company or a trust that owns land that is subject to Te Ture Whenua M#ori Act
- # the M#ori Trustee in its capacity as an agent for an owner of land that is subject to Te Ture Whenua M#ori Act
- # a M#ori Trust Board as defined in s 2 of the M#ori Trust Boards Act 1955
- # the Crown Forestry Rental Trust
- # Te Ohu Kai Moana Trustee Ltd
- # Aotearoa Fisheries Ltd
- # a company that is:
 - # established by a mandated iwi organisation to be an asset-holding company, as contemplated by s 12(1)(d) of the M#ori Fisheries Act
 - # recognised by Te Ohu Kai Moana Trustee Ltd as a mandated iwi organisation under s 13(1) of the M#ori Fisheries Act
 - # the trustees of a trust that is recognised by Te Ohu Kai Moana Trustee Ltd as a mandated iwi organisation under s 13(1) of the M#ori Fisheries Act
 - # the trustees of trusts that are established by Te Ohu Kai Moana Trustee Ltd as a mandated iwi organisation in accordance with ss 79 and 92 of the M#ori Fisheries Act, and
 - # a company or a trust that receives and manages assets on behalf of M#ori claimants transferred by the Crown as part of a settlement of a claim under the Treaty of Waitangi.

Entities not listed in s [HF 2](#) may apply to the government to be added to the list (*Tax Information Bulletin* [¶155-115 Vol 15, No 5](#), May 2003 at 35).

Law: IT07 s [HF 2](#)

Last reviewed on 31 December 2025

Election to be M#ori authority [¶24-301]

[¶24-301]

[Click to open document in a browser](#)

An eligible person must make an election to be a M#ori authority by giving notice to the Commissioner on form [IR483](#). The Commissioner must give the person notice that the election is accepted. The election takes effect on the first day of the income year in which notice of the election is given to the Commissioner, unless the notice of election nominates the first day of the succeeding income year, in which case the election will take effect from that later date.

An election ceases to have effect if an entity ceases to be a M#ori authority or if a M#ori authority gives notice to the Commissioner cancelling the election. An eligible person who chooses not to make an election is taxed under the general tax rules.

A deregistered charity that is eligible to be a M#ori authority may make a retrospective election to become a M#ori authority from the date on which the charity fails to comply with its rules. This ensures that such a deregistered charity is not taxed at a higher rate for its retrospective tax obligations than for its prospective obligations.

Law: IT07 s [HF 11](#)

Last reviewed on 31 December 2025

Tax rate for M#ori authorities [¶24-307]

[¶24-307]

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The income of a M#ori authority is taxed at the rate of 17.5%. This rate is considered to reflect the marginal tax rate of the majority of members receiving benefits from M#ori authorities. A “member” of a M#ori authority means a shareholder of a M#ori authority if it is a company and a beneficiary if the M#ori authority is a trust.

As with other taxpayers (with the exception of companies), M#ori authorities can make certain deduction rate elections for the deduction of RWT on resident passive income ([¶15-020](#)).

Law: IT07 s [YA 1](#) (“[M#ori authority](#)”, “[member](#)”), Sch [1](#) pt [A](#) cl [7](#)

Last reviewed on 31 December 2025

Distributions by M#ori authorities [¶24-311]

[¶24-311]

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Both cash and non-cash benefits provided to members are treated as distributions for the purpose of the M#ori authority rules, including amounts paid, credited or applied to members, advances that are not bona fide investments but are virtually a distribution of income and taxable bonus issues made by M#ori authorities that are companies. Transfers of property between M#ori authorities and their members may also be treated as distributions to the extent that the consideration (if any) paid for the property does not reflect the market value of the property. Where amounts would otherwise be dividends to members, the M#ori authority tax rules prevail and the amounts are treated as distributions made by the M#ori authority to the member, except for the purpose of s [CW 10](#) (exemption for dividends between wholly-owned companies).

M#ori authorities may make taxable distributions and non-taxable distributions. A “taxable M#ori authority distribution” is a distribution made from income of the M#ori authority derived in the 2004–05 or subsequent income year that is not exempt from tax in the hands of the M#ori authority. A taxable bonus issue made by a M#ori authority to a member is also a taxable M#ori authority distribution. Taxable M#ori authority distributions are included in the income of members. All other distributions (eg distributions of exempt income or income earned under the rules applying to M#ori authorities before the 2004–05 income year) are not taxable to members.

Law: IT07 ss [CD 37](#), [CV 11\(1\)](#), [CW 55](#), [HF 4–HF 7](#)

Last reviewed on 31 December 2025

Credit attribution system for M#ori authorities [¶24-314]

[¶24-314]

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Most M#ori authorities are required to establish and maintain a M#ori authority credit account (MACA). Tax paid by a M#ori authority that is required to maintain a MACA gives rise to M#ori authority credits that are recorded in its MACA. M#ori authority credits may be attached to “taxable M#ori authority distributions” made to members. The MACA is debited by the amount of credits attached to a distribution ([¶24-327](#)).

RWT at the rate of 17.5% must be deducted from a taxable M#ori authority distribution that is not fully credited. The rate of RWT increases to 39% (before 1 April 2021, 33%) if the distribution is more than \$200 and the M#ori authority does not have on record the IRD number of the member to whom the distribution is made. For a taxable M#ori authority distribution, RWT paid is treated as a M#ori authority credit attached to the distribution ([¶15-020](#) and [¶15-065](#)).

Members' income

The amount of the distribution and the credits are included in the members' income. The M#ori authority credits (which include any RWT paid in respect of the distribution) are available to offset income tax payable by members. Excess credits are refundable to members (s [LA 6](#)). Charities and other exempt entities that receive taxable distributions from M#ori authorities are required to file a return to claim a refund of M#ori authority credits.

M#ori authority credits attached to distributions received by a company give rise to credits in the company's ICA.

A person receiving a taxable M#ori authority distribution has a tax credit for the amount of the M#ori authority credit attached to the distribution. There are qualifications regarding the amount of credits that may be recognised. For example, credits attached in excess of the maximum permitted are not recognised to the extent of the excess, and credits attached to distributions paid under tax advantage arrangements are disregarded entirely. A credit of tax or a refund may be disallowed if the Commissioner considers that the amount claimed is excessive.

Taxable M#ori authority distributions are treated in the same manner as dividends for the purposes of tax-return filing requirements.

Non-taxable distributions cannot have M#ori authority credits attached and are not subject to RWT. The ability to pass out exempt income and other amounts tax-free means that M#ori authorities must track their income sources.

Retirement scheme contributions

Where a M#ori authority makes a contribution to an approved retirement savings scheme for a member, retirement scheme contribution tax (RSCT) will apply. The tax is deducted by the M#ori authority before the contribution is paid to the retirement savings scheme. The M#ori authority must pay any RSCT deducted to IR. To meet the RSCT liability the M#ori authority can attach M#ori authority tax credits to the contribution. Any excess credits attached to a contribution are passed through to the member ([¶29-315](#)).

Law: IT07 ss [CV 11\(2\)](#), [HF 4\(5\)](#), [HF 7](#), [LA 6](#), [LO 1–LO 5](#), [OA 18](#), [OB 20](#), [OK 10](#), [OK 19](#), [RE 24](#); TAA s [33\(1B\)](#)

Last reviewed on 31 December 2025

Anti-streaming rules for M#ori authorities [¶24-317]

[¶24-317]

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To prevent M#ori authorities streaming non-taxable distributions (ie distributions other than taxable M#ori authority distributions) to members best able to use them, s [HF 8](#) provides that where a distribution consists of a taxable M#ori authority distribution and non-taxable amounts, an equal portion of the taxable and non-taxable portions must be allocated among all members to whom the distribution is made.

Section [OK 20](#) requires every taxable M#ori authority distribution made by a M#ori authority in a tax year to be attributed with M#ori authority credits at the same level. The first distribution made by a M#ori authority in a tax year is referred to as the “benchmark distribution”. The maximum ratio at which credits can be allocated to distributions is 17.5:82.5. A benchmark distribution with a M#ori authority credit ratio exceeding the maximum is treated as having a base ratio equal to 17.5:82.5. The M#ori authority credit ratio is the amount of M#ori authority credits attached to a distribution divided by the amount of the distribution. All subsequent distributions paid during the year must carry credits at the same ratio as the benchmark distribution. Credits may be attached at a different ratio if a ratio change declaration is made and the M#ori authority declares that the subsequent distribution is not being made as part of an arrangement to obtain a tax advantage. In the absence of a ratio change declaration, a distribution with a M#ori authority credit ratio that differs from that of the benchmark distribution will give rise to a debit in the M#ori authority credit account (MACA) ([¶24-327](#)).

Section [GB 42](#) provides an anti-avoidance rule to deal with the streaming of M#ori authority credits forming part of an arrangement to obtain a tax advantage. Here, the term “tax advantage” includes the arising of a credit to a MACA. This rule is similar to the anti-avoidance rule that applies to imputation credit streaming ([¶17-120](#)).

The rules governing the allocation of imputation credits to beneficiaries of trusts are extended to M#ori authority credits to prevent trustees of trusts that are M#ori authorities from allocating M#ori authority credits to beneficiaries best able to use them. Generally, these rules require that the proportion of credits allocated to a beneficiary reflects the proportion of total distributions received by the beneficiary ([¶25-260](#)).

Law: IT07 ss [GB 42](#), [GB 43](#), [HF 8](#), [LO 2](#), [OK 16](#), [OK 19](#), [OK 20](#)

Last reviewed on 31 December 2025

Loss offset, grouping and amalgamation for M#ori authorities [¶24-321]

[¶24-321]

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Corporate M#ori authorities are included in the scope of the definition of a “company”. This means that, subject to the M#ori authority rules, corporate M#ori authorities can apply the tax rules relating to companies. However, there are limits on the extent to which corporate M#ori authorities can apply the company tax provisions. A M#ori authority may offset net income or tax losses only against the tax losses or net income, as the case may be, of another M#ori authority. Corporate M#ori authorities may amalgamate or form a consolidated group only with other companies that are M#ori authorities. Intercompany distributions between wholly-owned M#ori authorities qualify for the inter-corporate dividend exemption in s [CW 10](#). A company that becomes a M#ori authority ceases to be an ICA company.

Law: IT07 ss [CD 37](#), [HF 3](#), [OB 1\(2\)\(b\)](#)

Last reviewed on 31 December 2025

Co-operative companies as M#ori authorities [¶24-324]

[¶24-324]

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A M#ori authority that is a co-operative company may make a notional distribution to a member under s [OB 79](#) as if a M#ori authority credit were an imputation credit. Notional distributions made by M#ori authorities that are co-operative companies are expressly included in the income of the members to whom the distributions are made. M#ori authority co-operative companies may attach M#ori authority credits to notional distributions in the same way that non-M#ori authority co-operative companies may attach imputation credits to such distributions. Cash distributions made in respect of notional distributions that have already been taxed to members (ie for which an election has been made) are not taxable M#ori authority distributions and are not included in the income of members. A M#ori authority may not be a co-operative company if a shareholder is not a M#ori authority.

Law: IT07 ss [CV 11\(1\)](#), [HF 3\(2\)\(c\)](#), [HF 4\(3\)](#), [HF 5–HF 7](#), [OK 19\(5\)](#)

Last reviewed on 31 December 2025

M#ori authority credit account [¶24-327]

[¶24-327]

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Most M#ori authorities are required to establish and maintain a M#ori authority credit account (MACA).

A M#ori authority that is a member of a consolidated imputation group is exempt from filing a credit account return if the account balance is nil at all times during the relevant tax year (s [69B\(3\)](#)).

Two kinds of M#ori authority must not operate a MACA: M#ori authorities whose constitution prohibits the making of distributions to members, and M#ori authorities that derive only exempt income (other than exempt dividend income under s [CW 10](#)).

A MACA operates in a similar way to an imputation account operated by a company and is subject to similar rules.

Credits to record

The following amounts arise as credits to the MACA:

- # a payment of income tax or provisional tax, with the exception of:

- # income tax paid in respect of the 2003–04 or earlier tax year
- # where a M#ori authority becomes a M#ori authority during the imputation year, income tax relating to that part of the income year before the M#ori authority became a M#ori authority
- # income tax paid by way of imputation credits or further income tax, or
- # income tax paid by crediting a R&D tax credit against income tax liability
- # provisional tax paid to another M#ori authority under s [RC 32](#) (payments transferred within a wholly-owned group of companies)
- # further income tax paid where the MACA is in debt at the end of the tax year or when the entity ceases to be a M#ori authority (see below)
- # M#ori authority credits attached to distributions made to the M#ori authority during the tax year
- # imputation credits attached to dividends paid to the M#ori authority during the tax year
- # imputation credits attributed to a M#ori authority, being an investor in a multi-rate PIE, under s [HM 54](#)
- # the amount of R&D tax credit the M#ori authority is entitled to
- # an amount to offset a debit for M#ori authority credits determined to have been the subject of an arrangement to obtain a tax advantage to the extent that it is subsequently established that the M#ori authority credits were not the subject of any such arrangement
- # the amount of any RWT deduction deemed to have been derived by the M#ori authority in terms of s [RA 9](#).

The timing of when each of these credits arises is also prescribed in ss [OK 2–OK 9](#).

Amendments were made to the rules around memorandum accounts when making transfers from previous years with effect from 30 March 2022. Changes to ss [OK 2](#), [OK 3](#), [OK 11](#) and [OK 12](#) permit MACA entries resulting from a transfer of tax from a previous period to be made on the date the taxpayer requests the transfer, rather than the effective date chosen by the taxpayer. Transfers made before the end of an income year will continue to be made in the current year (in the as yet unfiled MACA return).

Debits to record

Debits to the MACA during an imputation year arise from the following:

- # M#ori authority credits attached to distributions made by the M#ori authority
- # the amount of any provisional tax allocated by a M#ori authority to another M#ori authority that is an “underpaid company” in terms of s [RC 32](#) (payments to be transferred within a wholly-owned group of companies)

refunds of income tax paid to a M#ori authority except to the extent that the refund:

relates to the 2003–04 or earlier tax year, or

relates to a tax year or part of a tax year during which the M#ori authority did not maintain a MACA (where the refund relates to part of a tax year during which the M#ori authority did not maintain a MACA, the debit is apportioned to the number of days in which the M#ori authority maintained a MACA), or

is not more than the amount of the debit for a breach of shareholding — see below

making a distribution with a M#ori authority credit ratio that differs from that of the benchmark distribution in contravention of s [OK 20](#)

transfers of refundable credits under s [LA 6\(2\)\(d\)](#) where the transfer does not lead to a refund and refunds of credits under s [LA 6\(2\)\(e\)](#)

failure to meet the continuity of shareholding requirements — see below

the allocation of credits in pursuance of a tax advantage arrangement in terms of s [GB 43](#)

an amount equivalent to the credit balance in the MACA when a M#ori authority ceases to be a M#ori authority, and

any overpaid income tax applied by the Commissioner in satisfaction of tax liabilities (other than income tax or provisional tax instalments), except to the extent the amount applied is:

for income tax paid for the 2003–04 or earlier tax year, or

for income tax paid before the date that a debit for a breach of shareholder continuity has arisen and is for not more than the amount of the debit for the breach of continuity.

The timing of when each of these debits arises is also prescribed in ss [OK 10–OK 18](#).

The Commissioner has the power to correct credits or debits incorrectly recorded in a MACA.

End-of-year requirements

M#ori authority credit accounts are subject to end-of-year requirements and general penalty provisions similar to those that apply in respect of ICAs. If a MACA has a debit balance at 31 March, further income tax is payable by the following 20 June. Further income tax must also be paid where a MACA has a debit balance immediately before a M#ori authority ceases to be a M#ori authority. Payments of further income tax may be applied to an income tax or a provisional tax liability that arises at any time when the M#ori authority is required to establish and maintain a MACA. Income tax paid in relation to a tax year in which a M#ori authority is required to establish and maintain a MACA may be applied to a further income tax liability caused by a MACA debit balance. A M#ori authority that is liable to pay further income tax for an end-of-year debit balance is also liable to pay a special tax known as M#ori authority distribution penalty tax of an amount equal to 10% of the amount of the further income tax. The general compliance and penalty rules apply if the M#ori authority fails to pay the further income tax and penalty tax by the due date. Provision is made for the remission of M#ori authority distribution penalty tax and interest and late payment penalties relating to further income tax in ss [181B](#) and [183A](#) of the TAA ([¶14-090](#) and [¶14-180](#)).

Continuity requirements

Corporate M#ori authorities are required to maintain 66% continuity of shareholding for the purpose of carrying forward M#ori authority credits. If 66% continuity of shareholding is not met, M#ori authority credits are cancelled. Non-corporate M#ori authorities, such as M#ori trust boards who do not issue shares, should qualify for the “special corporate entity relief”, whereby the special corporate entity is treated as always being 100% owned by the same single person so that no breach of continuity is possible ([¶16-155](#)).

Limits on refund of tax

A refund of income tax to a M#ori authority is limited to the credit balance in its MACA at the later of the end of the tax year most recently ended, the last day of any period for which the M#ori authority has filed a

M#ori authority credit account return under s [70B\(3\)](#) of the TAA and the last day of a period for which the Commissioner has required such a return to be filed under s [70B\(1\)](#). For M#ori authorities that have an extension of time for filing returns, so long as the MACA return for a tax year is filed under the extension of time before the end of the next tax year, the refund is limited to the credit balance in the M#ori authority's MACA on the last day of the tax year for which the return is furnished, not the most recently ending tax year. These rules are similar to the rules that limit a refund or allocation of income tax to an ICA company to the balance in its ICA ([¶17-105](#)).

Income tax paid in excess that is not refunded to a M#ori authority because its MACA has insufficient credits is retained and applied in payment of income tax or provisional tax payable by the M#ori authority in the tax year in which the entitlement arose or an earlier or later tax year. The excess can be credited as at a date on which there is no liability to pay provisional tax but from which use of money interest applies in relation to underpaid residual income tax. To the extent that income tax not refunded cannot be so applied, it is retained by the Commissioner.

Law: IT07 subpart [OK](#), ss [OA 2\(5\)](#), [OA 8](#), [RM 22–RM 27](#); TAA ss [69B](#), [97B](#), [104B](#), [140CB](#), [181B](#), [181D](#), [183A](#)

Last reviewed on 31 December 2025

Moving in and out of the M#ori authority tax regime [¶24-331]

[¶24-331]

[Click to open document in a browser](#)

A person who has elected to become a M#ori authority may cancel that election by giving notice to the Commissioner. If eligible, that person may elect to re-enter the M#ori authority tax regime. However, to ensure that M#ori authorities do not move in and out of the rules to obtain tax advantages, a M#ori authority re-entering the M#ori authority tax rules is treated as if it had disposed of its property for market value immediately before re-entering the regime and then re-acquired it on the same date for the same value. For depreciation purposes, however, the cost of the property is limited to the lower of the market value of the property on the date of acquisition and the original cost of the property.

Other transitional rules apply to ensure that no additional tax consequences arise for entities moving in and out of the regime. Companies entering the M#ori authority tax rules lose their imputation credits (the rules relating to a company ceasing to be an ICA company apply) and any retained earnings, accumulated profits and capital reserves may be distributed to members tax-free. A company exiting the M#ori authority rules may transfer a credit balance in its M#ori authority credit account to its ICA. Income derived by the company in or before the 2003–04 tax year is converted to available subscribed capital, the subsequent distribution of which is exempt from tax. Income derived after the 2003–04 tax year is treated as being from a taxable source to which imputation credits may be attached.

For a trust entering the rules, trustee income derived before the trust became a M#ori authority may be distributed to members tax-free. For a trust exiting the rules, taxable income derived by the M#ori authority is treated as trustee income, the subsequent distribution of which is exempt from tax.

Law: IT07 ss [HF 9](#), [HF 10](#), [OB 21](#)

Last reviewed on 31 December 2025

Filing and notification requirements for M#ori authorities [¶24-335]

[¶24-335]

[Click to open document in a browser](#)

M#ori authorities must file returns of income ([IR8](#)), unless they have an exemption. The authorities are also required to provide members with information about distributions they receive or retirement scheme contributions made for their benefit so that those members can comply with their tax obligations. M#ori authorities are also required to provide IR with a M#ori authority credit account return ([IR8J](#)), and, if appropriate, an annual reconciliation statement for retirement scheme contribution tax. No credit of tax is allowed or refund paid to members unless the Commissioner has received a distribution statement relating to the credit.

A M#ori authority that is a member of a consolidated imputation group is exempt from filing a credit account return if the account balance is nil at all times during the relevant tax year (s [69B\(3\)](#)).

The record-keeping requirements in s [22\(2\)](#) of the TAA are extended to include records relating to M#ori authority credit accounts and retirement scheme contributions.

Before 1 April 2020, M#ori authorities had to provide IR with a distribution statement containing details of all distributions made for the year. From 1 April 2020, this information is required to be provided under the new investment income information provisions. The required information is set out in s [25I](#) and [Sch 6](#) and must be provided by the 20th of the month following the month in which the distribution was paid to the member. All investment income payers must file their information electronically, unless they receive an exemption from the Commissioner ([¶15-215](#)).

Law: IT07 s [LO 5](#); TAA ss [22\(2\)\(k\)](#), [\(lb\)](#), [25I](#), [31](#), [48B](#), [57](#), [69B](#), [70B](#), [227E](#), [Sch 6](#)

Last reviewed on 31 December 2025

Deduction for donations by M#ori authorities [¶24-340]

[¶24-340]

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Section [DV 12](#) provides that a M#ori authority may deduct:

- # a donation made to a M#ori association as defined in the M#ori Community Development Act 1962, for the purposes of that Act, or
- # a charitable or other public benefit gift made to a donee organisation ([¶11-055](#)).

All qualifying donations and gifts of money are deductible, to the extent that the donations do not exceed the M#ori authority's net income for that tax year.

However, a deduction is denied to the extent to which the amount is a donation or gift by a deregistered charity to another charity within 12 months of deregistration.

Law: IT07 s [DV 12](#)

Last reviewed on 31 December 2025

Crown Research Institutes [¶24-390]

[¶24-390]

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Crown Research Institutes (CRIs) were established under the Crown Research Institutes Act 1992. CRIs are subject to tax on any payment received for an activity listed in s 7 of the Research, Science and Technology Act 2010 or for the purpose of producing outputs relating to public good, science and technology.

“Public good, science and technology” is defined to mean science or technology that:

- # is likely to increase knowledge or understanding of the physical, biological or social environment, or
- # is likely to develop, maintain or increase skills or scientific or technological expertise that is of particular importance to New Zealand, or
- # may be of benefit to New Zealand, but is unlikely to be funded or adequately funded from non-governmental sources.

CRIs are prohibited from maintaining ICAs. They can utilise loss carry-forward and grouping provisions. They are excluded from the income exemption provided by s [CW 49](#) for promoters of scientific or industrial research ([¶124-135](#)). They are also excluded from the public authority exemption by s [CW 38\(5\)\(c\)](#) ([¶15-605](#)).

Law: IT07 ss [CV 6](#), [CW 38\(5\)\(c\)](#), [CW 49\(2\)](#), [OB 1\(2\)\(d\)](#)

Last reviewed on 31 December 2025